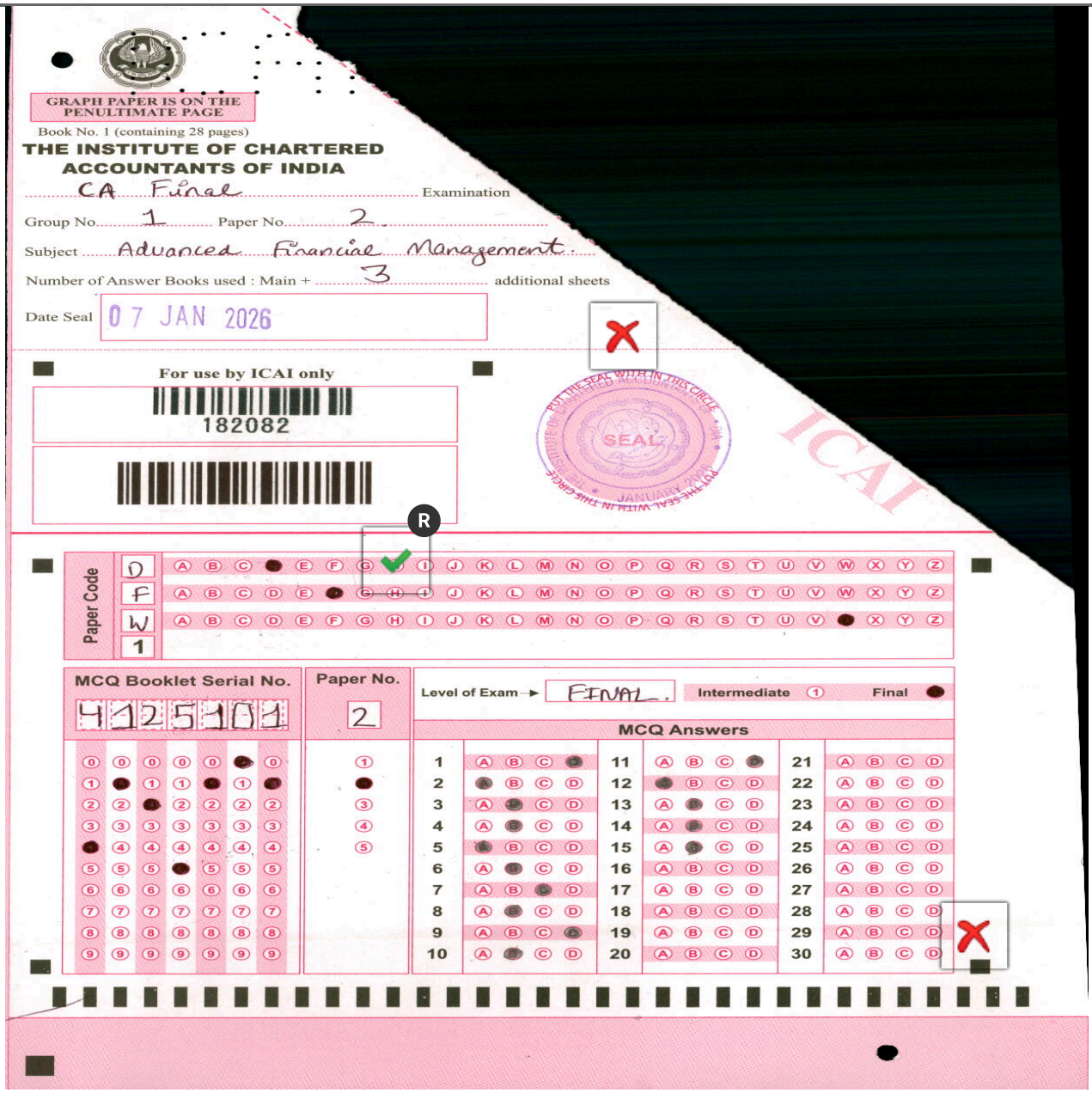
The Institute of Chartered Accountants of India

Code:	**FN2AF182082**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	**42**



GRAPH PAPER IS ON THE PENULTIMATE PAGE

Book No. 1 (containing 28 pages)

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA

CA Final Examination

Group No. 1 Paper No. 2

Subject Advanced Financial Management

Number of Answer Books used : Main + 3 additional sheets

Date Seal 07 JAN 2026

For use by ICAI only

182082

Paper Code: D F W 1

MCQ Booklet Serial No. 41251101

Paper No. 2

Level of Exam → FINAL. Intermediate ① Final ●

MCQ Answers

1	B	11	B	21			
2	A	12	A	22			
3	B	13	B	23			
4	B	14	B	24			
5	A	15	B	25			
6	B	16		26			
7	D	17		27			
8	B	18		28			
9	D	19		29			
10	B	20		30			

The Institute of Chartered Accountants of India

Code: FN2AF182082 **Total Marks:** 70
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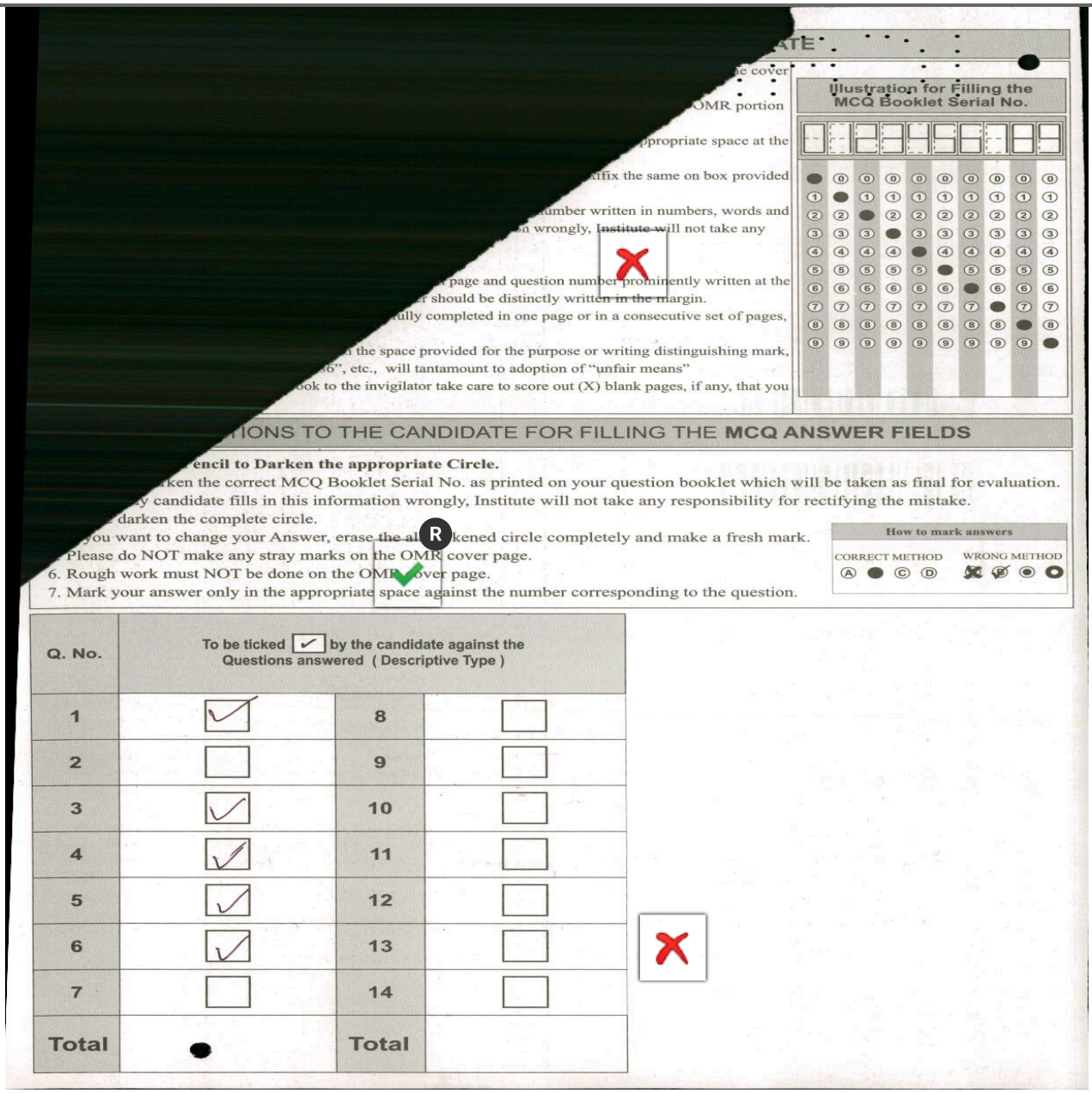


Illustration for Filling the MCQ Booklet Serial No.

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...TIONS TO THE CANDIDATE FOR FILLING THE **MCQ ANSWER FIELDS**

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Please do NOT make any stray marks on the OMR cover page.

6. Rough work must NOT be done on the OMR ...over page.

7. Mark your answer only in the appropriate space against the number corresponding to the question.

How to mark answers

CORRECT METHOD WRONG METHOD

Q. No.	To be ticked ✓ by the candidate against the Questions answered (Descriptive Type)		
1	✓	8	
2		9	
3	✓	10	
4	✓	11	
5	✓	12	
6	✓	13	
7		14	
Total		Total	

03

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Advanced Financial Management

Answer to question - 1 (a)

⇒ Average Annual yield of Bonus Mutual fund Scheme = 16.8 %.

No. of years = 1/4/19 to 31/3/25 = 6 years

Amount Invested by Investor = ₹25,00,000.

Return each year = 25,00,000 × 16.8 % =
= ₹420,000.

Total return during the holding period = ₹420,000 × 6
= ₹25,20,000.

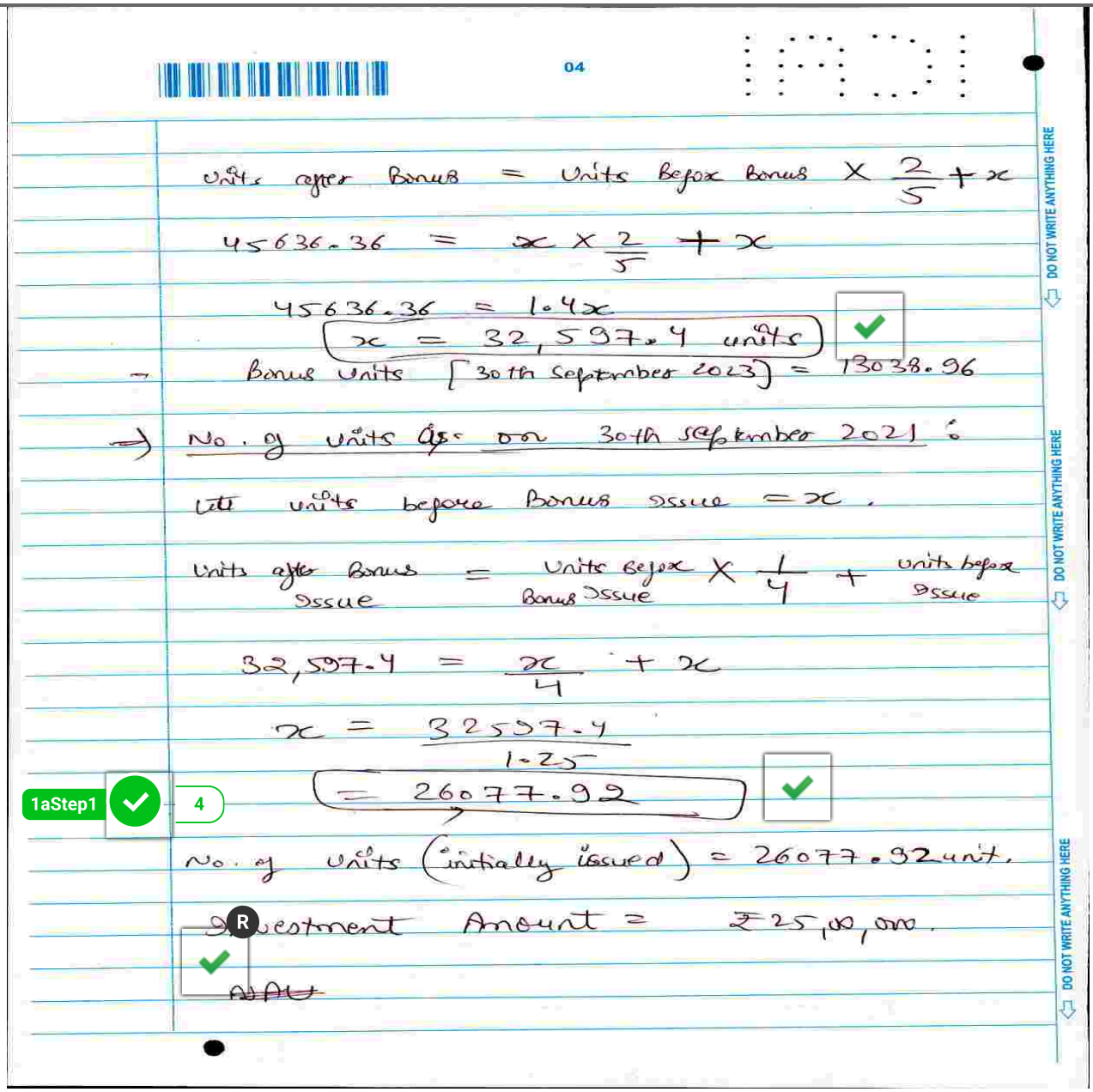
No. of units at 31st March 2025 = ₹25,20,000 / ₹110

⇒ 45,636.36 units.

Bonus on 31st September 2023 (units) ⇒ 2:5.

Let no. of units before issue of Bonus = x.

Then



04

Units after Bonus = Units Before Bonus $\times \frac{2}{5} + x$

$45636.36 = x \times \frac{2}{5} + x$

$45636.36 = 1.4x$

$x = 32,597.4$ units ✓

Bonus units [30th September 2023] = 13038.96

⇒ No. of units as on 30th September 2021 :

Let units before Bonus issue $= x$.

Units after Bonus issue = Units before Bonus issue $\times \frac{1}{4}$ + units before issue

$32,597.4 = \frac{x}{4} + x$

$x = \frac{32597.4}{1.25}$

$= 26077.92$ ✓

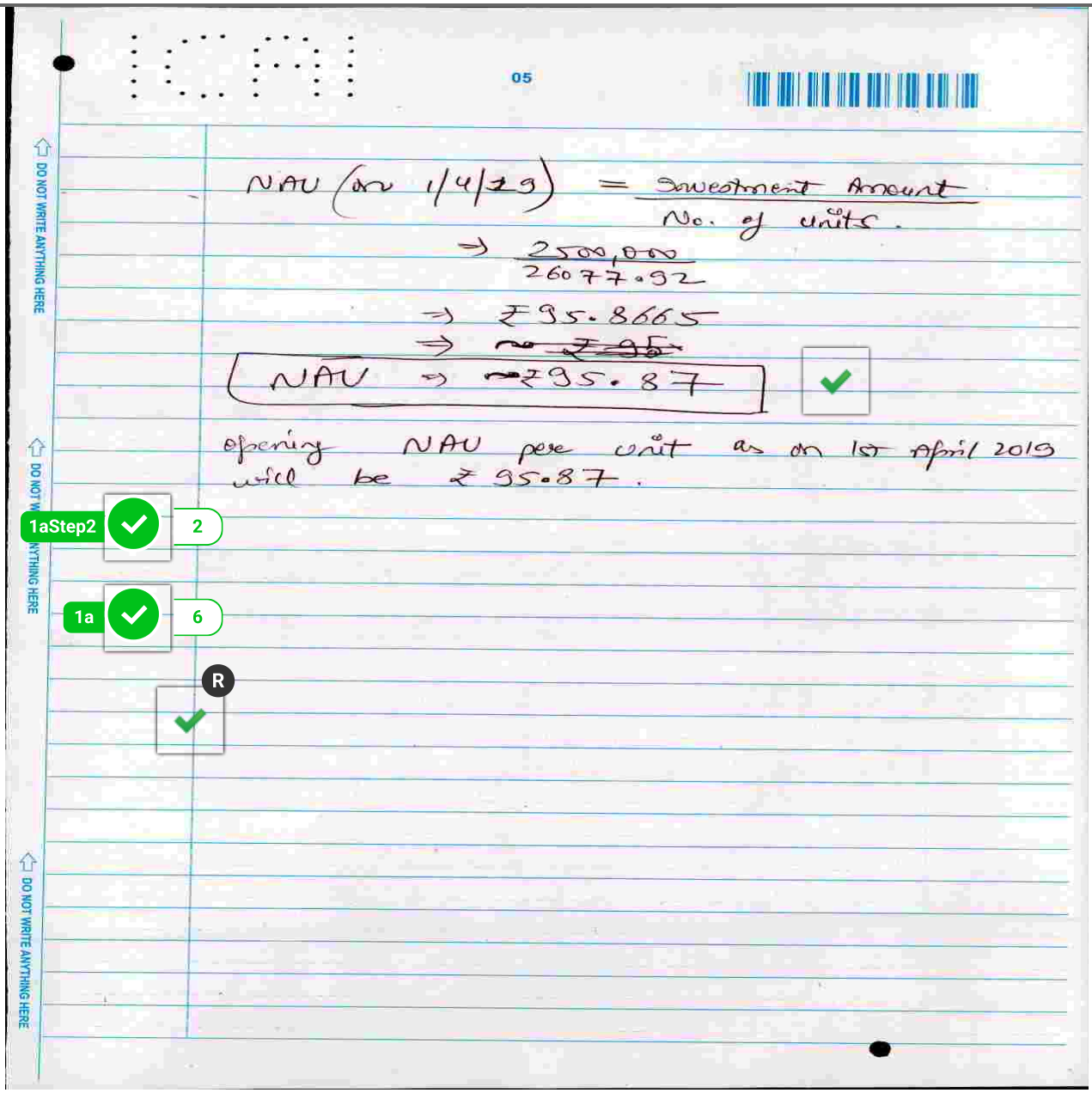
1aStep1 ✓ 4

No. of units (initially issued) = 26077.92 unit.

R Investment Amount = ₹25,00,000.

✓ AAU

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1aStep2 ✓ 2

1a ✓ 6

R ✓

06

Answer to Q-1 (b)

(i) Calculation of P/E ratio :

		₹
Free float market capitalization	(A)	38,40,00,000.
Shares held by promoter	(C)	84%
Shares in market (free float)	(B)	16%
⇒ Total market capitalisation	[A/B]	₹240 crore
No. of shares Held by promoter	(D)	1.26 crore
⇒ Total no. of shares	[D ÷ C]	1.5 crore.
Market Price per share.		₹160
~~Price Earning Ratio~~ ⇒	[Market capitalization / No. of shares]	→ [₹240 crore / 1.5 cr]
Profit After Tax.		₹9.6 crore
Earning per share [EPS]	→ (Profit after Tax / No. of share)	₹6.4 (9.6 / 1.5)

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07

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⇒ Market price per share (MPS) ₹160
Earning per share (EPS) ₹6.4.

P/E (Price - Earning Ratio) ⇒ (MPS / EPS) 25 times

the price earning ratio is 25 times ✓

(iii) Total No. of shares after issue if promoters shares were fixed at 75%.

⇒ No. of shares / 75% ⇒ 1.5 crore / 75%

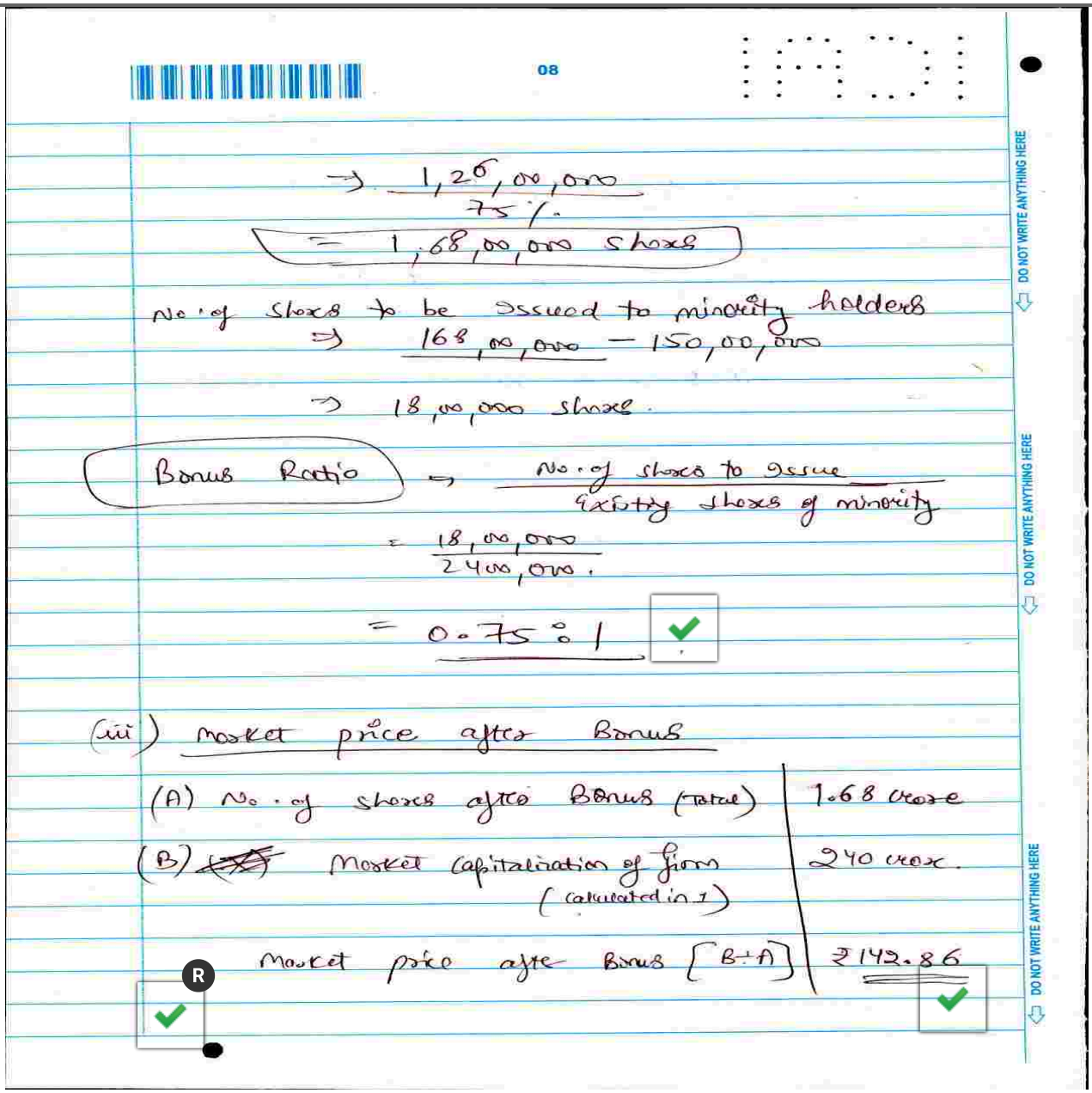
⇒ 2 crore shares.

No. of shares to be issued = 2 crore − 1.5 crore shares

⇒ 0.50 crore (or) 50,00,000.

Bonus to be given to minority shareholders.
Their current Holding = 16%.

R No. of shares post Bonus = No. of shar of promote / 75%



08

⇒ $\frac{1,25,00,000}{75\%}$

= 1,68,00,000 shares

No. of shares to be issued to minority holders

⇒ 168,00,000 − 150,00,000

⇒ 18,00,000 shares.

Bonus Ratio ⇒ $\frac{\text{No. of shares to issue}}{\text{existing shares of minority}}$

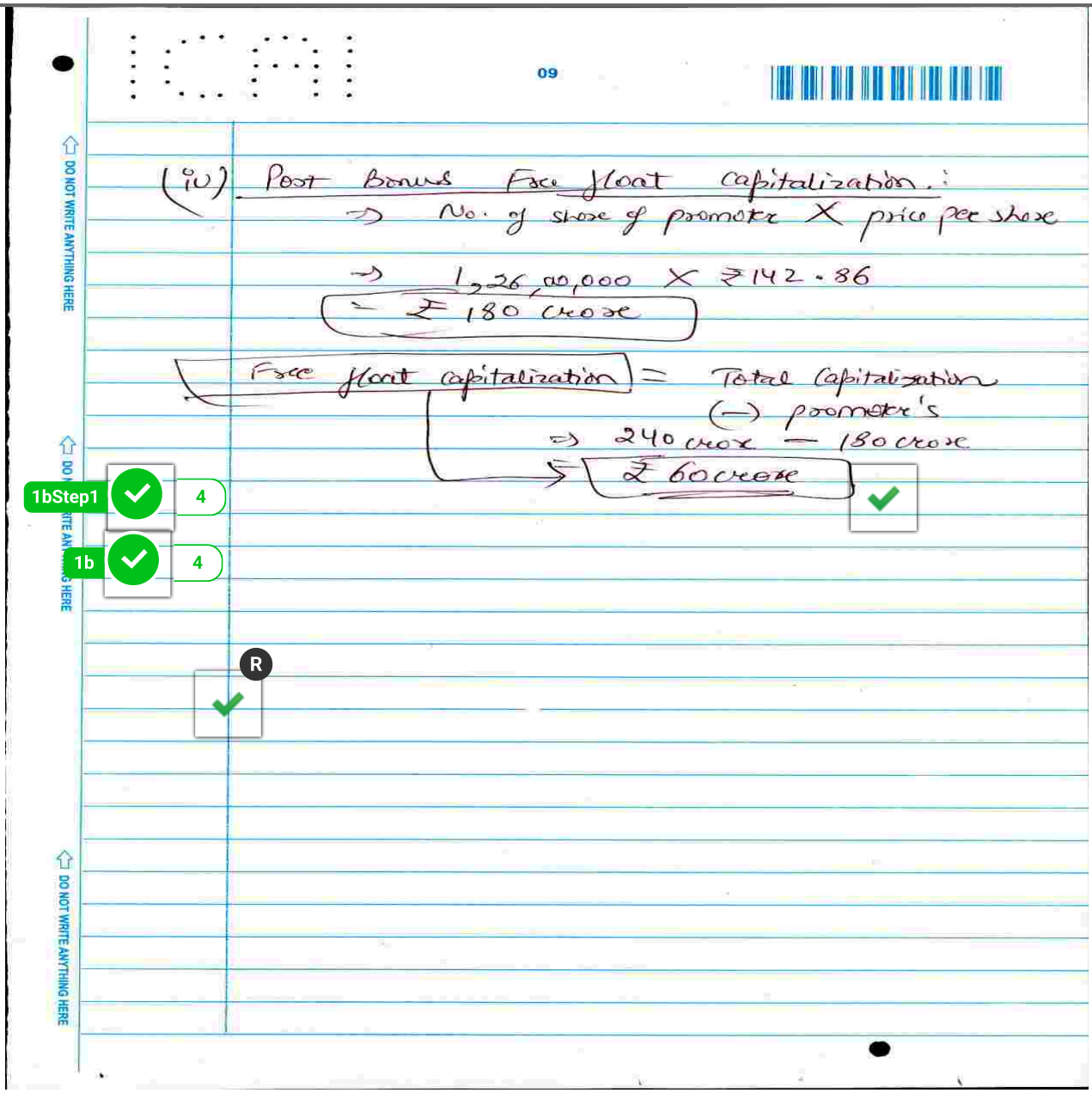
$= \frac{18,00,000}{2400,000.}$

= 0.75 : 1

(iii) Market price after Bonus

(A) No. of shares after Bonus (Total)	1.68 crore
(B) ~~(+)~~ Market Capitalisation of firm (calculated in 1)	240 crore.
Market price after Bonus [B÷A]	₹142.86

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09

(iv) Post Bonus Free float capitalization :

⇒ No. of shares of promoter × price per share

⇒ 1,26,00,000 × ₹142.86

= ₹180 crore

Free float capitalization = Total Capitalization (–) promoter's

⇒ 240 crore – 180 crore

⇒ ₹60 crore

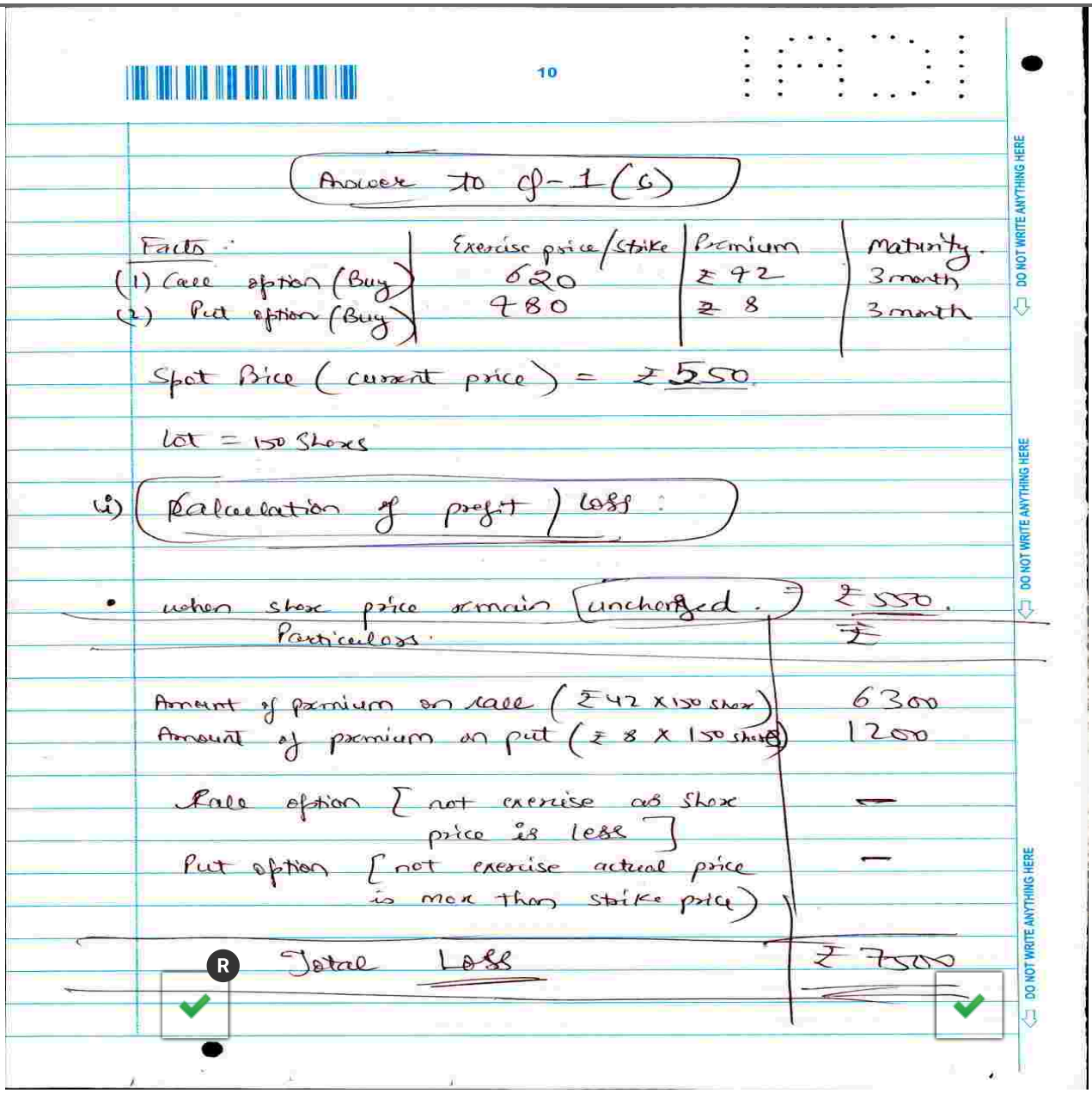
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1bStep1 4

1b 4

R

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10

Answer to Q-1 (G)

Facts :	Exercise price/Strike	Premium	Maturity.
(1) Call option (Buy)	620	₹ 42	3 month
(2) Put option (Buy)	480	₹ 8	3 month

Spot Price (current price) = ₹550.

Lot = 150 Shares

(i) Calculation of profit / loss :

• when share price remain unchanged. = ₹550.

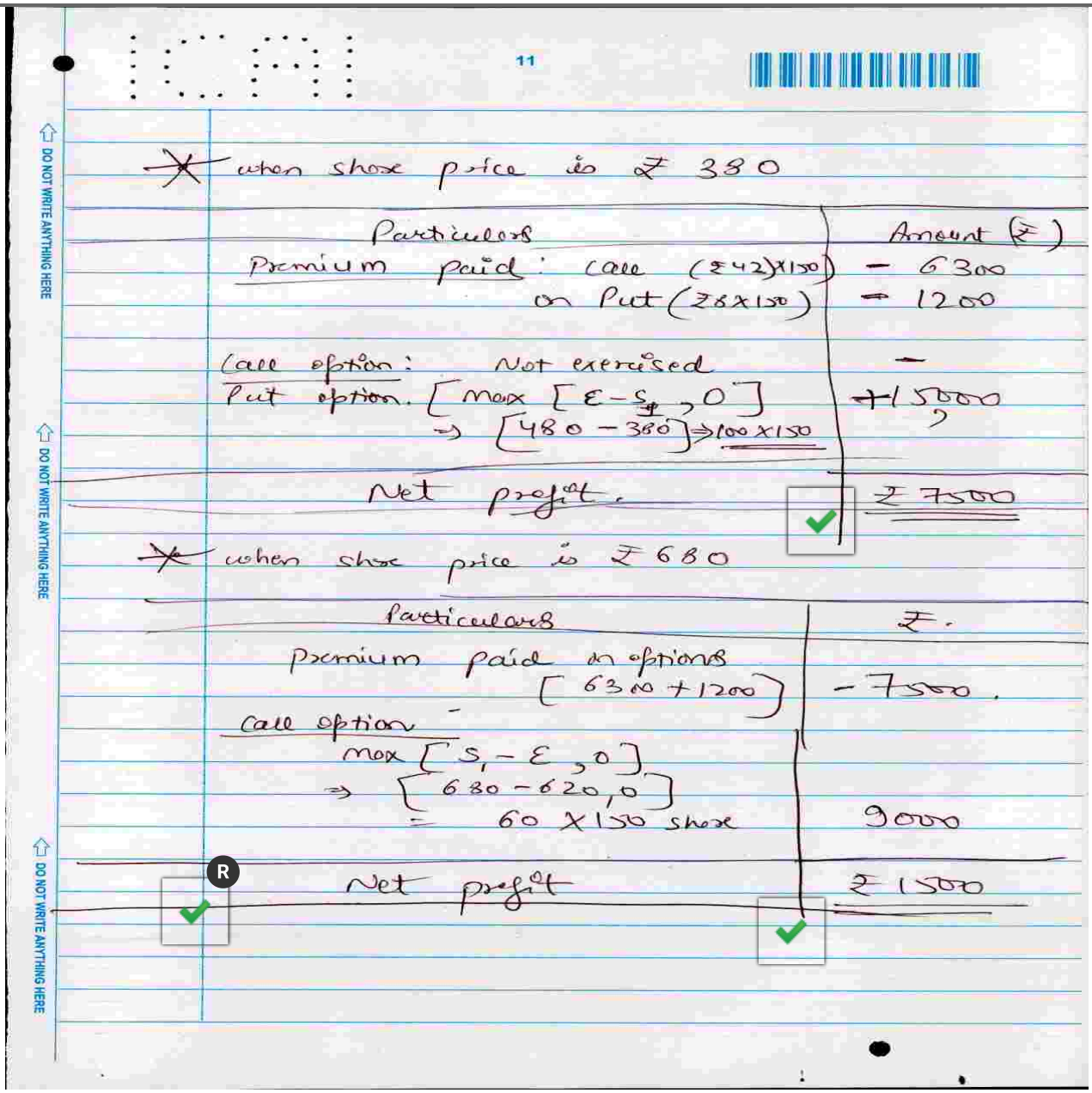
Particulars. ₹

Amount of premium on call (₹42 × 150 shares)	6300
Amount of premium on put (₹8 × 150 shares)	1200
Call option [not exercise as share price is less]	—
Put option [not exercise actual price is more than strike price]	—
Total Loss	₹7500

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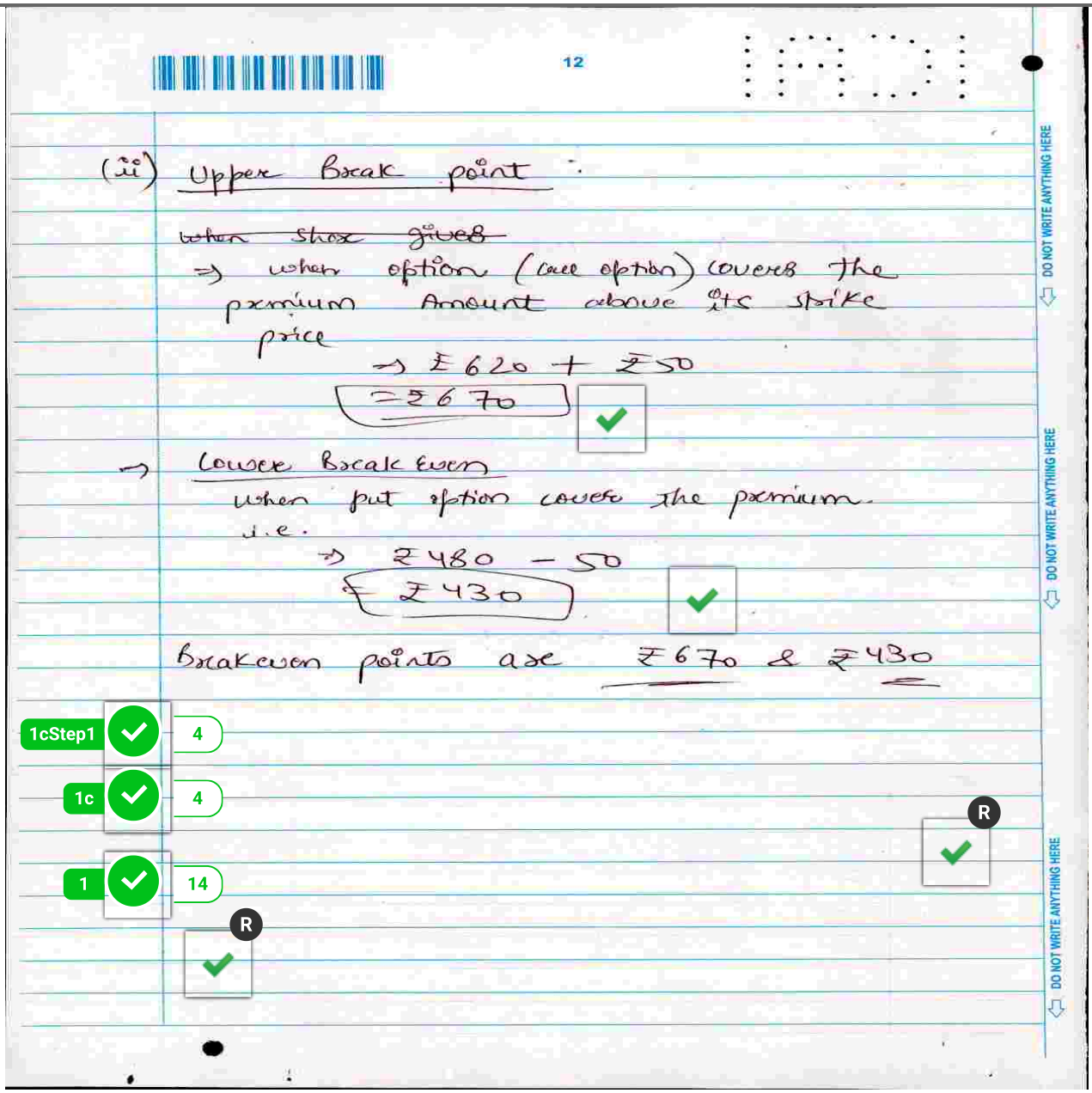
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when share price is ₹ 380

Particulars	Amount (₹)
Premium paid: Call (₹42)×150	− 6300
or Put (₹8×150)	− 1200
Call option: Not exercised	−
Put option. [max [E − S_1, 0] ⇒ [480 − 380] ⇒ 100×150	+15000
Net profit.	₹ 7500

when share price is ₹ 680

Particulars	₹.
Premium paid on options [6300 + 1200]	− 7500.
Call option max [S_1 − E, 0] ⇒ [680 − 620, 0] = 60×150 shares	9000
Net profit	₹ 1500



12

(ii) Upper Break point :

~~when strike gives~~

⇒ when option (call option) covers the premium Amount above its strike price

⇒ ₹620 + ₹50

= ₹670

⇒ Lower Break Even

when put option covers the premium.

i.e.

⇒ ₹480 − 50

₹430

Breakeven points are ₹670 & ₹430

1cStep1 4

1c 4

1 14

R

R

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Answer to Q-3(a)

(i) Profit / loss on Futures:

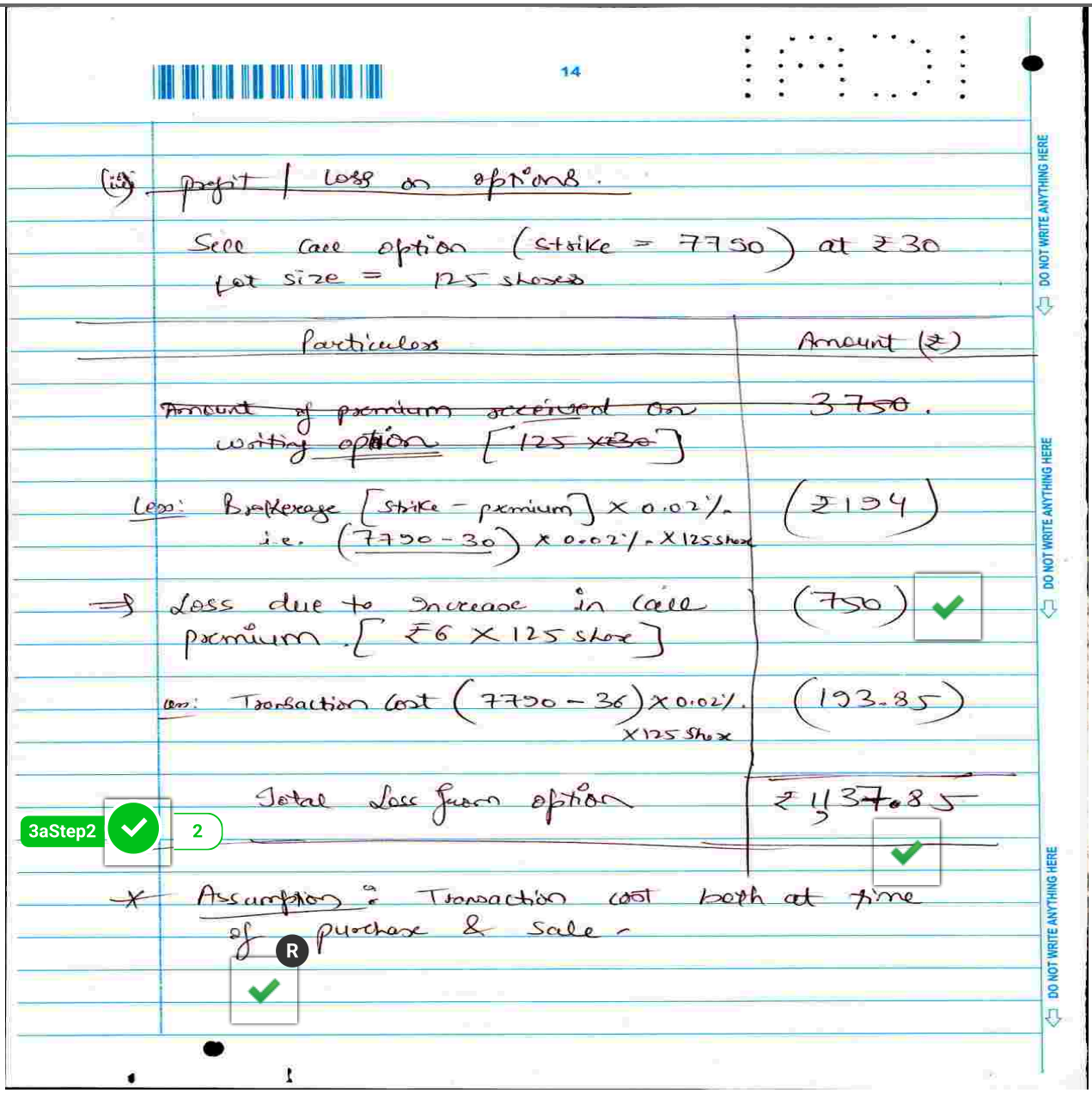
Lot Size = 125 shares. (Buy at ₹ 7750)

Particulars	Amount (₹)
Future price (after Increase) = (7780 × 125 shares)	9,72,500.
less: Future price (Before Increase) [125 × 7750]	(968,750)
less: Transaction cost (968750 × 0.02%) (on Buy)* + (on Sell)* → 972,500 × 0.02%	(193.75) (194.5)
Total profit from future	₹ 3361.75

3aStep1 2

* It is assumed that the transaction cost is paid both at time of purchase & sell. If sell transaction cost not incurred, then, profit = ₹ 3361.75 + 194.5 → ₹ 3556.25

R



14

(iii) ~~Profit / Loss on options.~~

Sell Call option (Strike = 7750) at ₹30
Lot size = 125 shares

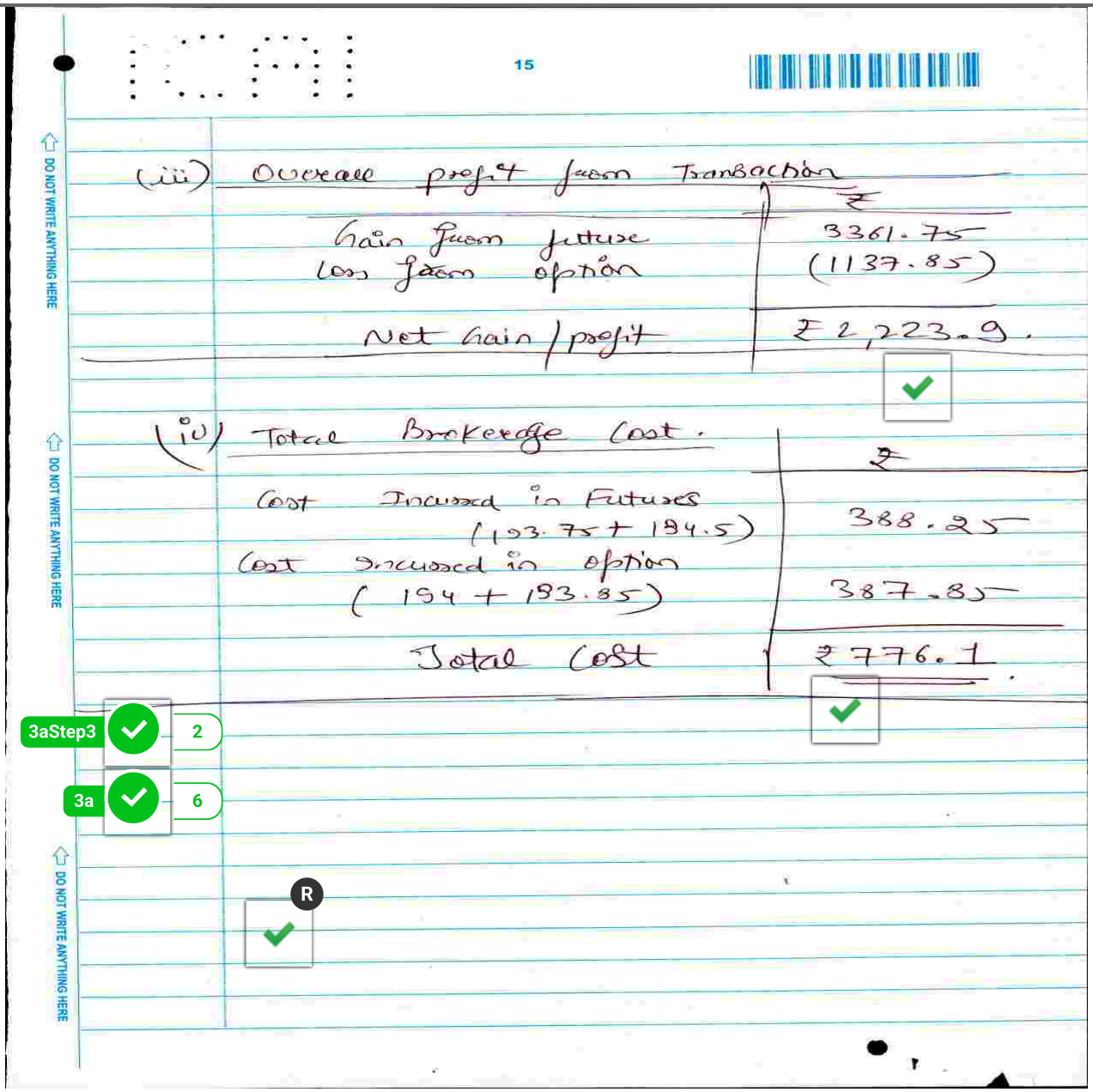
Particulars	Amount (₹)
~~Amount of premium received on writing option [125 x 30]~~	~~3750~~.
Less: Brokerage [Strike - premium] x 0.02% i.e. (7750 - 30) x 0.02% x 125 shares	(₹194)
⇒ Loss due to increase in call premium. [₹6 x 125 shares]	(750) ✓
Less: Transaction cost (7750 - 36) x 0.02% x 125 shares	(193.85)
Total Loss from option	₹1,137.85 ✓

3aStep2 ✓ 2

* Assumption: Transaction cost both at time of purchase & sale.

R ✓

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15

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(iii) Overall profit from Tranbaction

	₹
Gain from future	3361.75
Loss from option	(1137.85)
Net Gain / profit	₹ 2,223.9.

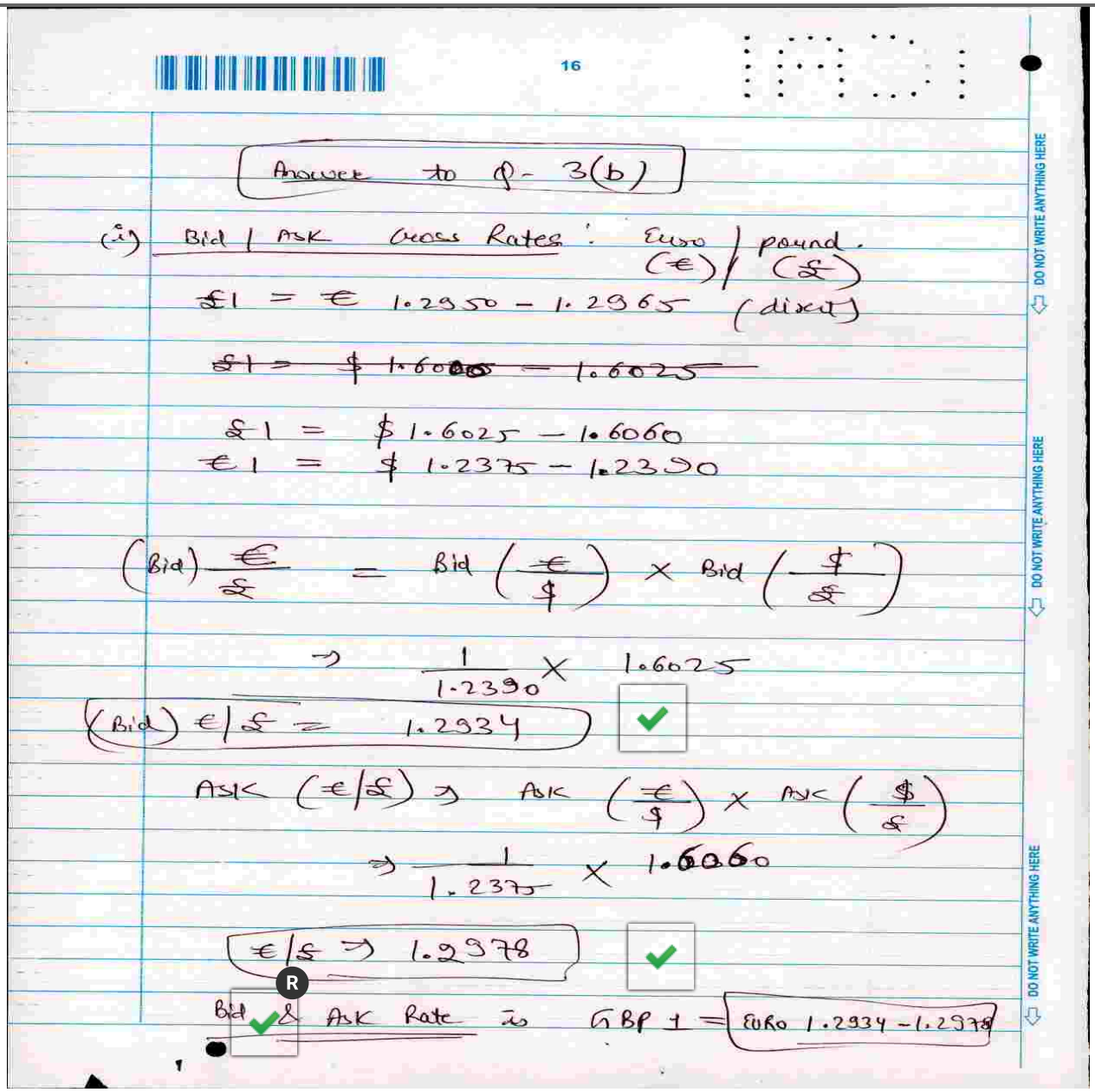
(iv) Total Brokerage Cost.

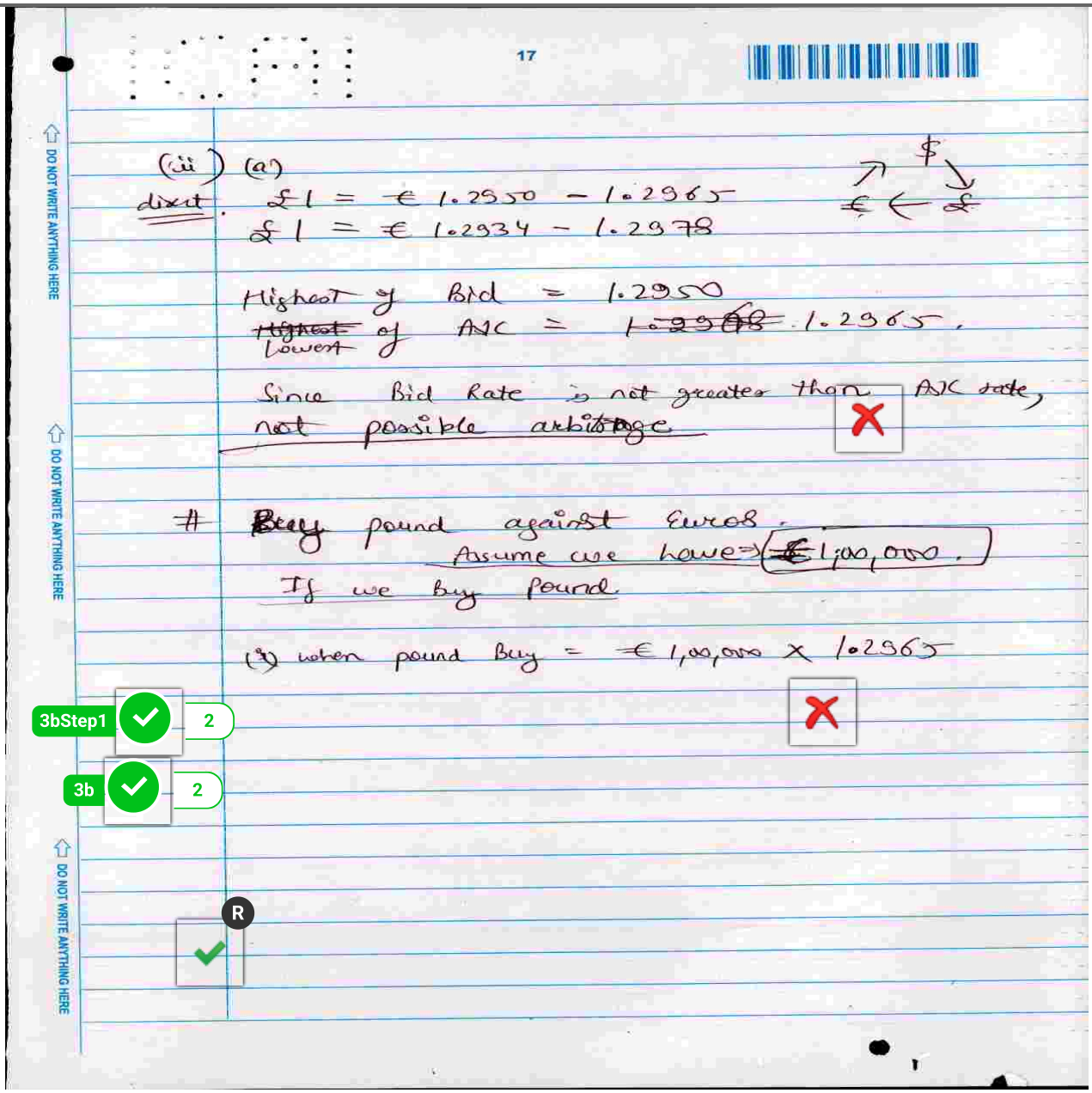
	₹
Cost Incurred in Futures (193.75 + 194.5)	388.25
Cost Incurred in option (194 + 193.85)	387.85
Total Cost	₹ 776.1.

3aStep3 2

3a 6

R


16
Answer to Q- 3(b)
(ii) Bid / Ask Cross Rates : Euro (€) / pound (£)
£1 = € 1.2950 - 1.2965 (direct)
£1 = $ 1.6025 - 1.6060
€1 = $ 1.2375 - 1.2390
(Bid) €/£ = Bid (€/$) × Bid ($/£)
⇒ 1/1.2390 × 1.6025
(Bid) €/£ = 1.2934
Ask (€/£) ⇒ Ask (€/$) × Ask ($/£)
⇒ 1/1.2375 × 1.6060
€/£ ⇒ 1.2978
Bid & Ask Rate is GBP 1 = EURO 1.2934 - 1.2978
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DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE



17

(ii) (a)

direct. £1 = € 1.2950 - 1.2965

£1 = € 1.2934 - 1.2978

Highest of Bid = 1.2950

~~Highest~~ Lowest of Ask = ~~1.2978~~ 1.2965,

Since Bid Rate is not greater than Ask rate, not possible arbitrage ✗

~~Buy~~ pound against Euros.

Assume we have ~~€~~ 1,00,000.

If we buy pound

(1) when pound Buy = € 1,00,000 × 1.2965 ✗

3bStep1 ✓ 2

3b ✓ 2

R ✓

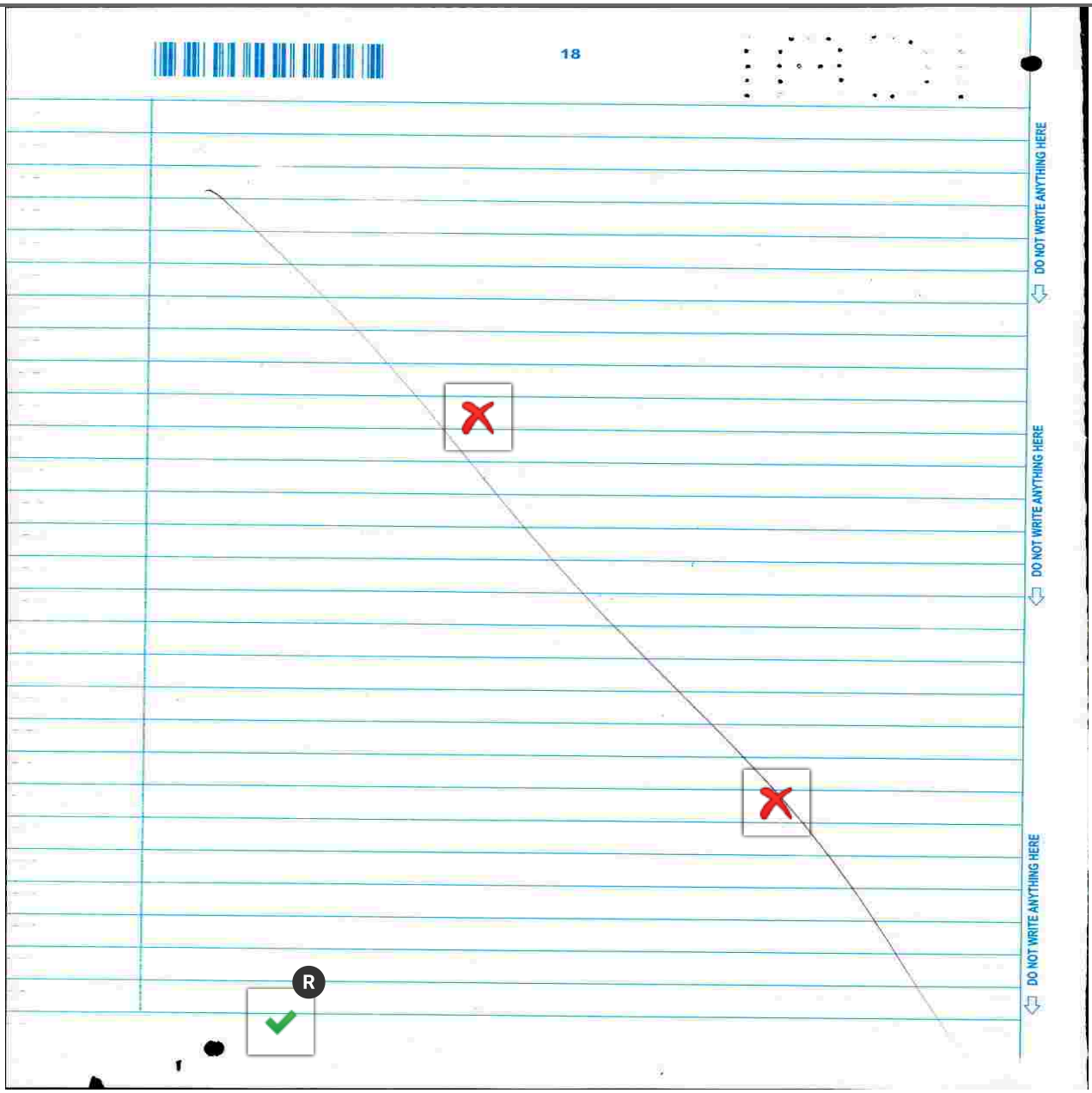
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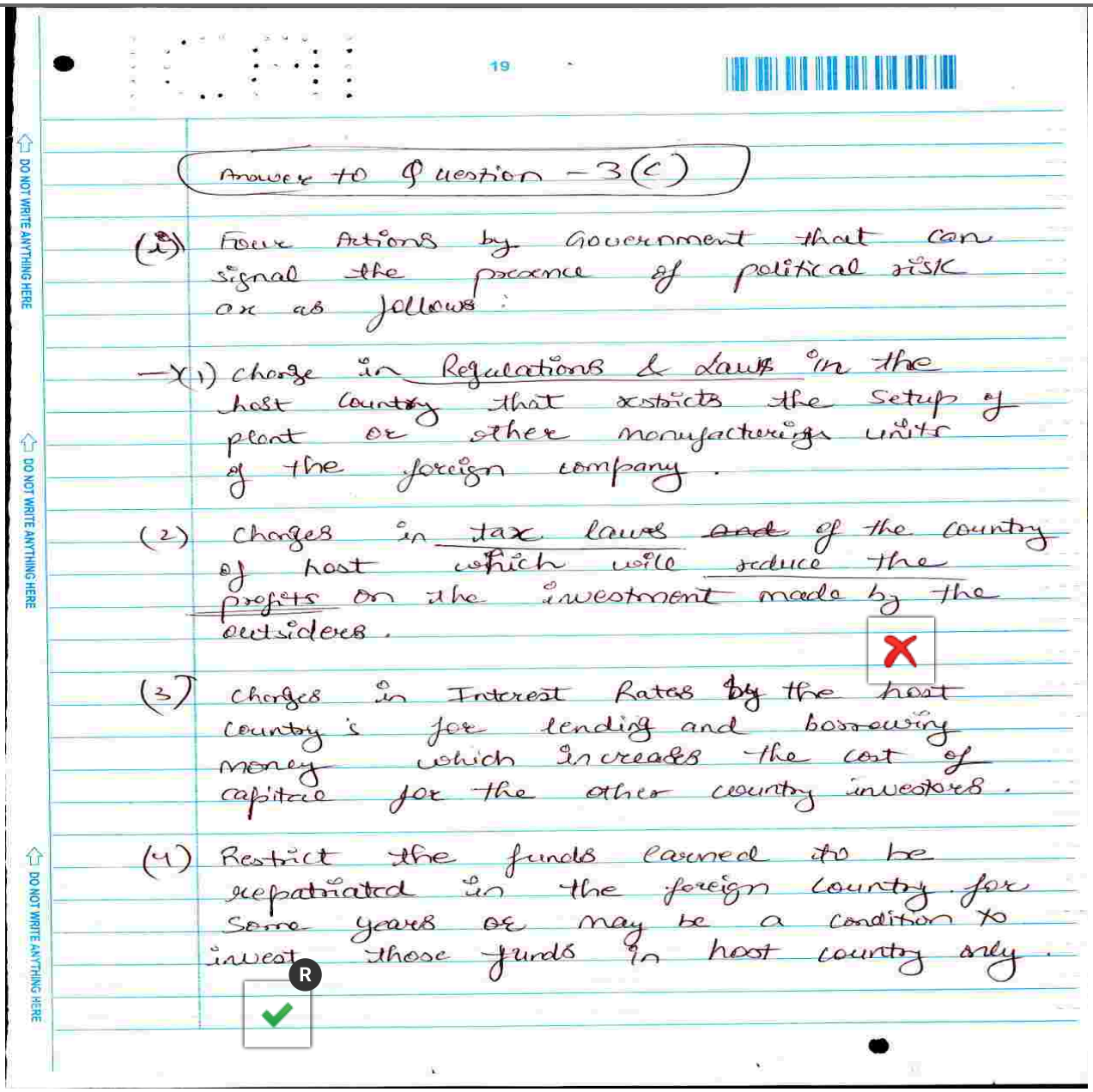
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Code:	**FN2AF182082**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	**42**





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Answer to Question – 3(c)

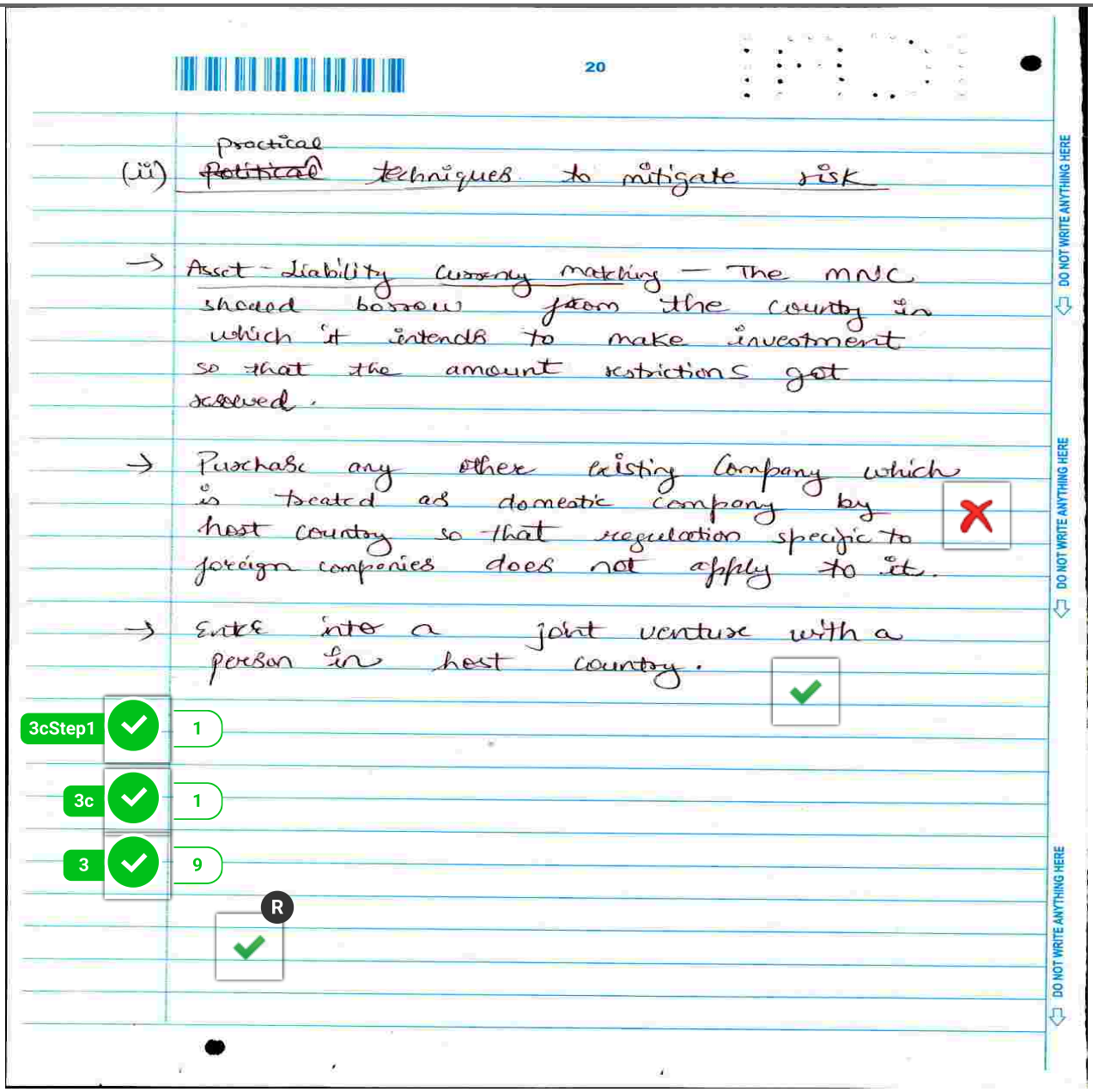
(2) Four Actions by Government that can signal the presence of political risk are as follows :

(1) change in Regulations & Laws in the host country that restricts the setup of plant or other manufacturing units of the foreign company.

(2) Changes in tax laws of the country of host which will reduce the profits on the investment made by the outsiders.

(3) Changes in Interest Rates by the host country is for lending and borrowing money which increases the cost of capital for the other country investors.

(4) Restrict the funds earned to be repatriated in the foreign country for some years or may be a condition to invest those funds in host country only.



20

(ii) ~~Political~~ Practical techniques to mitigate risk

→ Asset - liability currency matching — The MNC should borrow from the country in which it intends to make investment so that the amount restrictions get resolved.

→ Purchase any other existing company which is treated as domestic company by host country so that regulation specific to foreign companies does not apply to it.

→ Enter into a joint venture with a person in host country.

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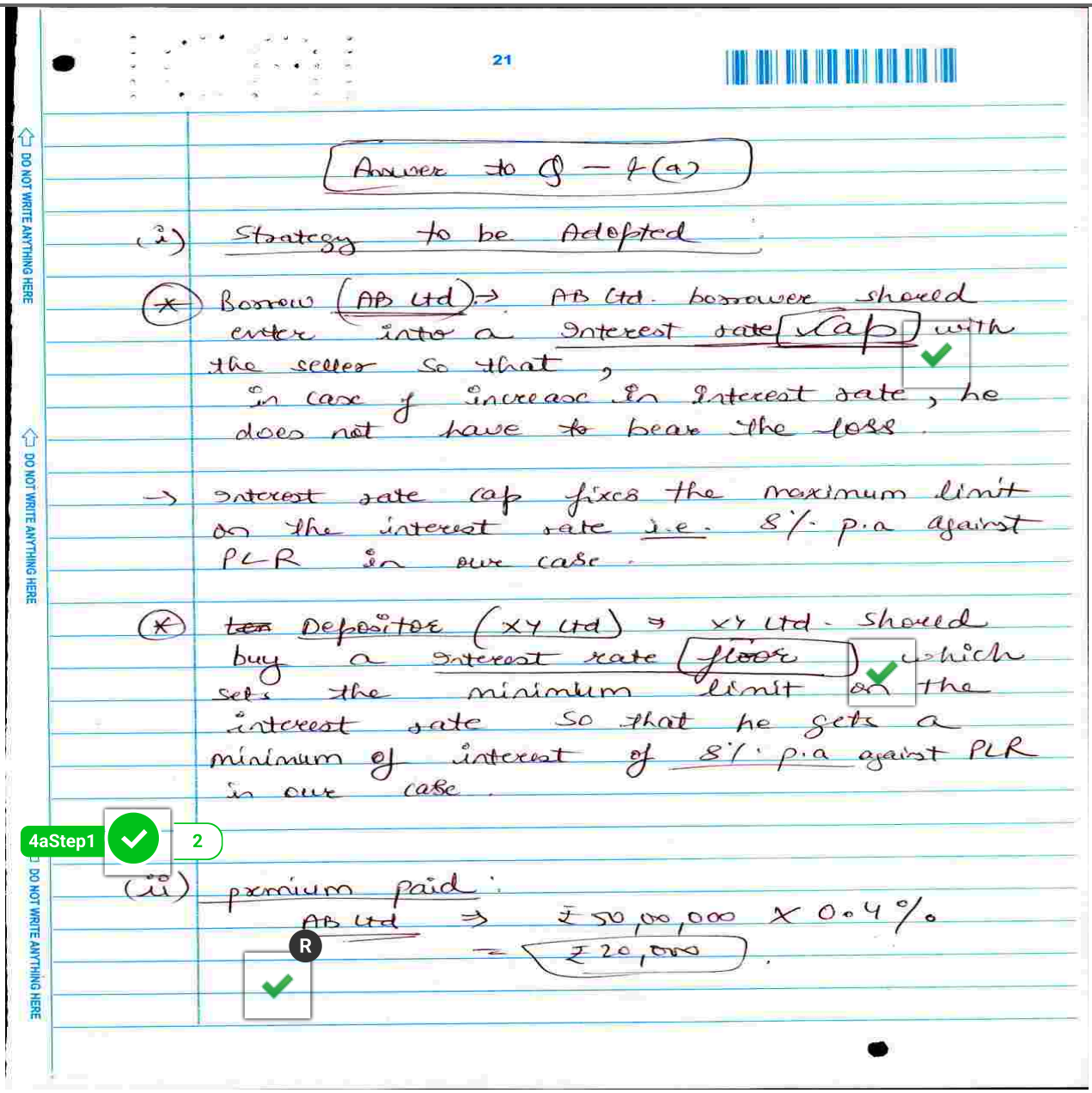
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3cStep1 1

3c 1

3 9

R



21

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Answer to Q – 4(a)

(i) Strategy to be Adopted

(*) Borrow (AB Ltd.) ⇒ AB Ltd. borrower should enter into a Interest rate cap with the seller so that, in case of increase in Interest rate, he does not have to bear the loss.

→ Interest rate cap fixes the maximum limit on the interest rate i.e. 8% p.a against PLR in our case.

(*) ~~ten~~ Depositor (XY Ltd) ⇒ XY Ltd. should buy a Interest rate floor which sets the minimum limit on the interest rate so that he gets a minimum of interest of 8% p.a against PLR in our case.

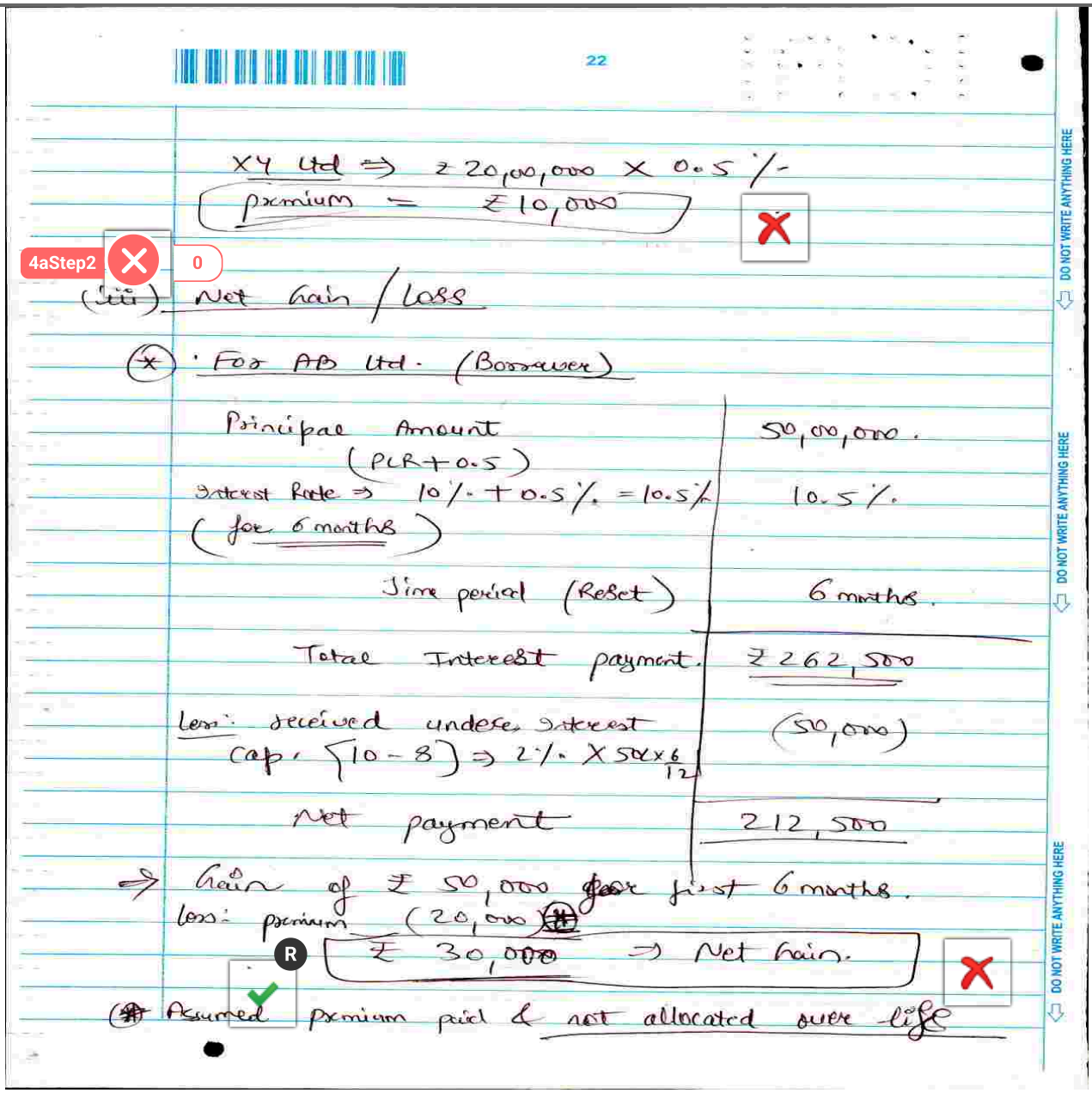
4aStep1 2

(ii) premium paid:

AB Ltd ⇒ ₹ 50,00,000 × 0.4%

= ₹ 20,000.

R



22

XY Ltd ⇒ ₹ 20,00,000 × 0.5 %
premium = ₹ 10,000

4aStep2 0

(iii) Net Gain / Loss

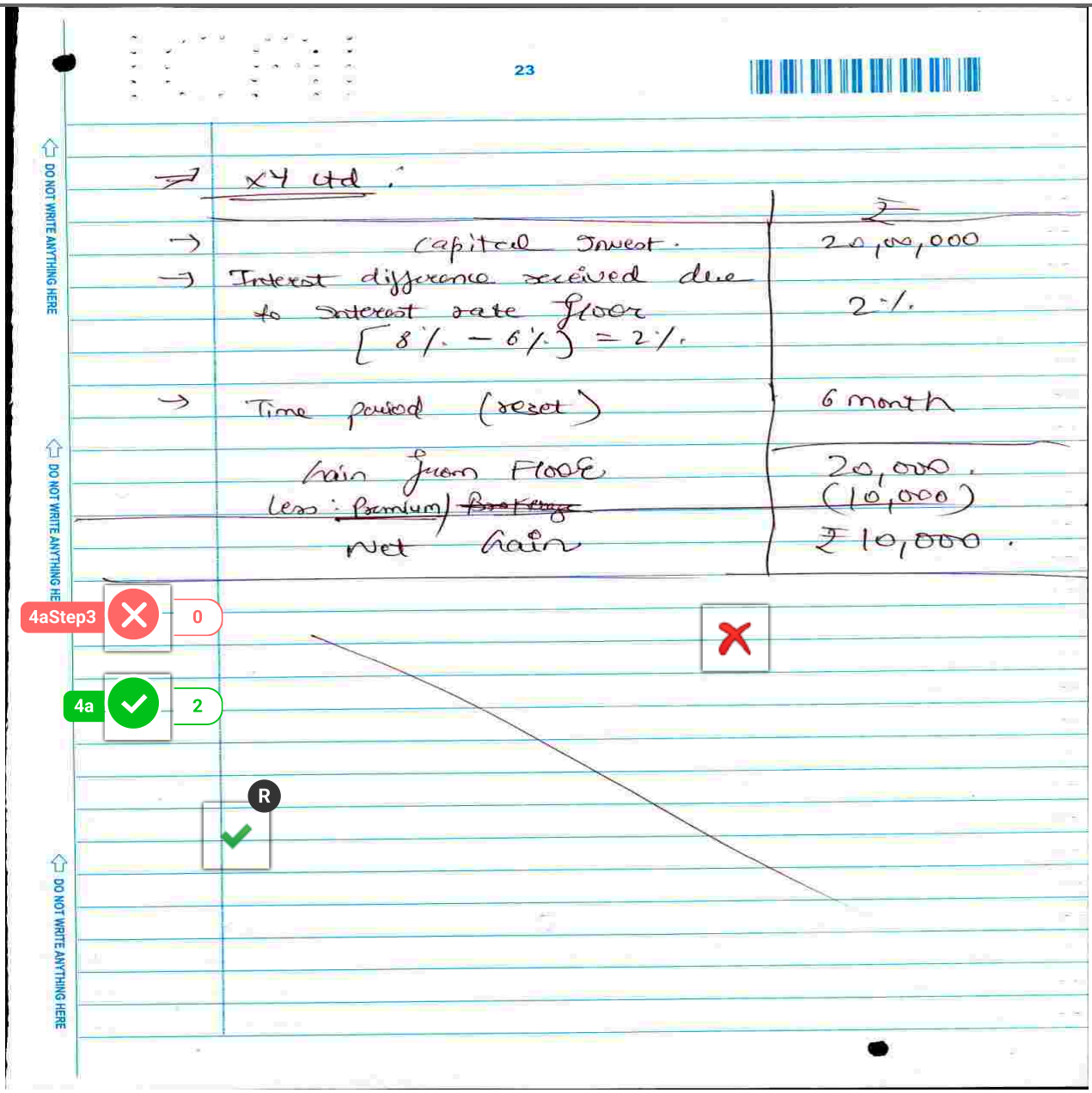
(*) For AB Ltd. (Borrower)

Principal Amount	50,00,000.
Interest Rate ⇒ 10% + 0.5% = 10.5% (PLR+0.5) (for 6 months)	10.5 %.
Time period (Reset)	6 months.
Total Interest payment.	₹ 262,500
Less: received under 3 interest Cap. (10 − 8) ⇒ 2% × 50 × 6/12	(50,000)
Net payment	212,500

⇒ Gain of ₹ 50,000 for first 6 months.
Less: premium (20,000 (#))
R ₹ 30,000 ⇒ Net Gain.

(#) Assumed premium paid & not allocated over life

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23

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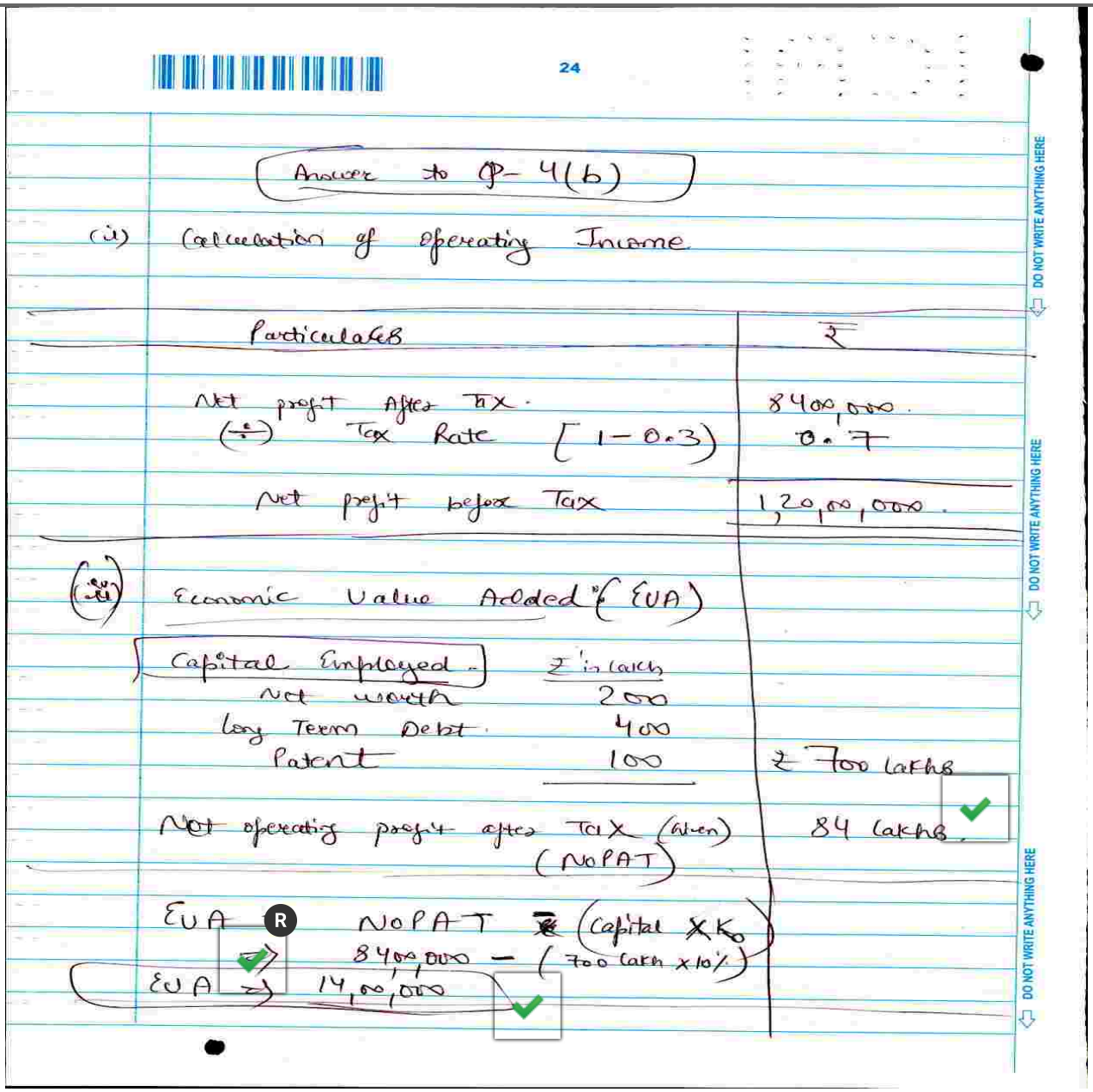
⇒ X4 Ltd.:

→ Capital Invest.	₹ 20,00,000
→ Interest difference received due to Interest rate floor [8% − 6%] = 2%	2%
→ Time period (reset)	6 month
Gain from FLOOR	20,000
Less: Premium/ ~~Brokerage~~	(10,000)
Net Gain	₹ 10,000

4aStep3 0

4a 2

R



24

Answer to Qp- 4(b)

(i) Calculation of Operating Income

Particulars	₹
Net profit After Tax.	8400,000.
(÷) Tax Rate [1-0.3)	0.7
Net profit before Tax	1,20,00,000.

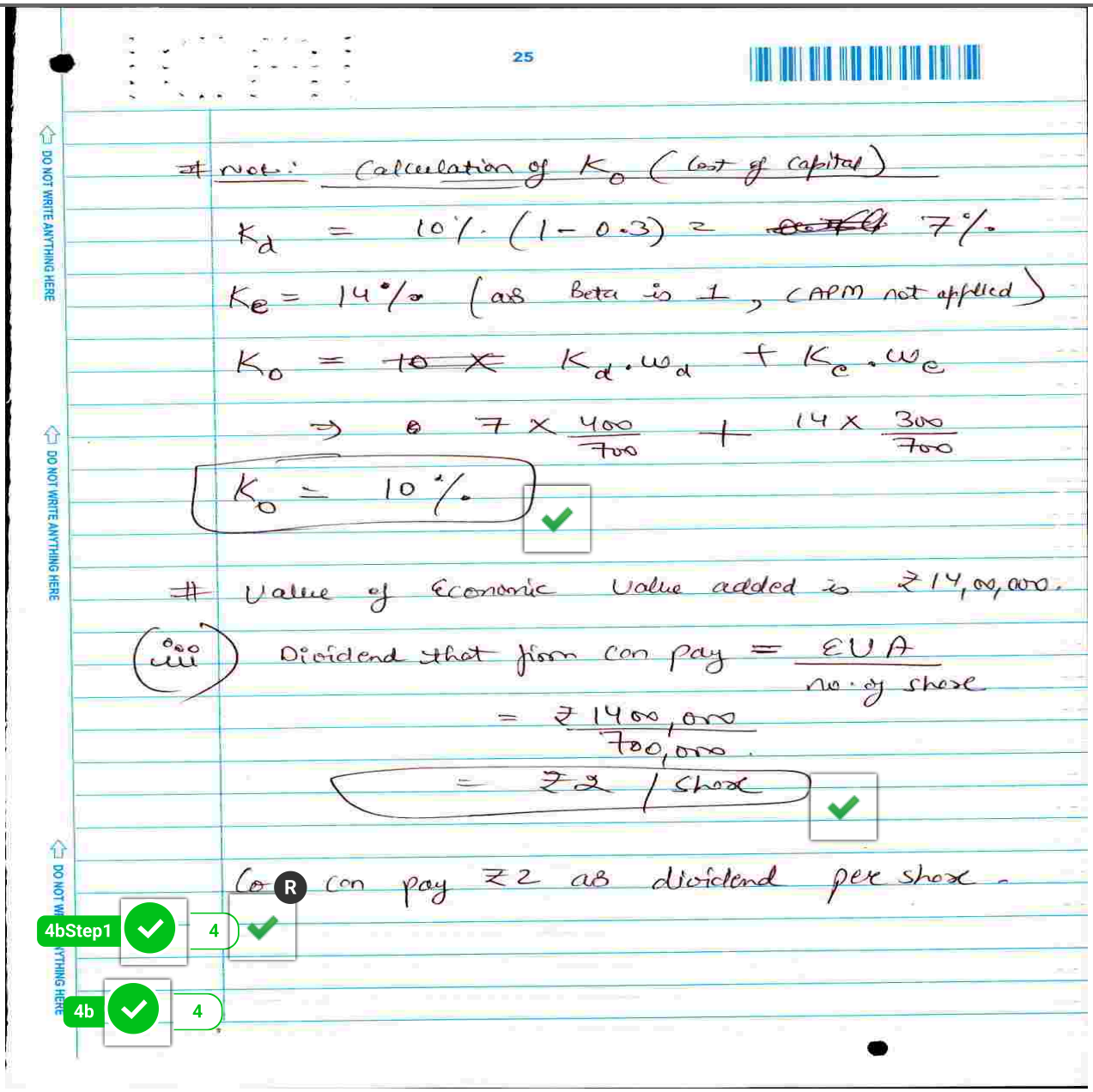
(ii) Economic Value Added (EVA)

Capital Employed	₹ in lakh
Net worth	200
long Term Debt.	400
Patent	100
	₹ 700 lakhs

Net operating profit after Tax (Given) 84 lakhs.
(NoPAT)

EVA ⇒ NOPAT ₹ (Capital X K_o)
EVA ⇒ 84,00,000 − (700 lakh x 10%)
EVA ⇒ 14,00,000

DO NOT WRITE ANYTHING HERE



25

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Note: Calculation of K_0 (Cost of Capital)

K_d = 10% · (1 − 0.3) = 7%

K_e = 14% (as Beta is 1, CAPM not applied)

K_0 = $K_d \cdot w_d + K_e \cdot w_e$

⇒ 7 × 400/700 + 14 × 300/700

K_0 = 10%

Value of Economic Value added is ₹14,00,000.

(iii) Dividend that firm can pay = EVA / no. of share

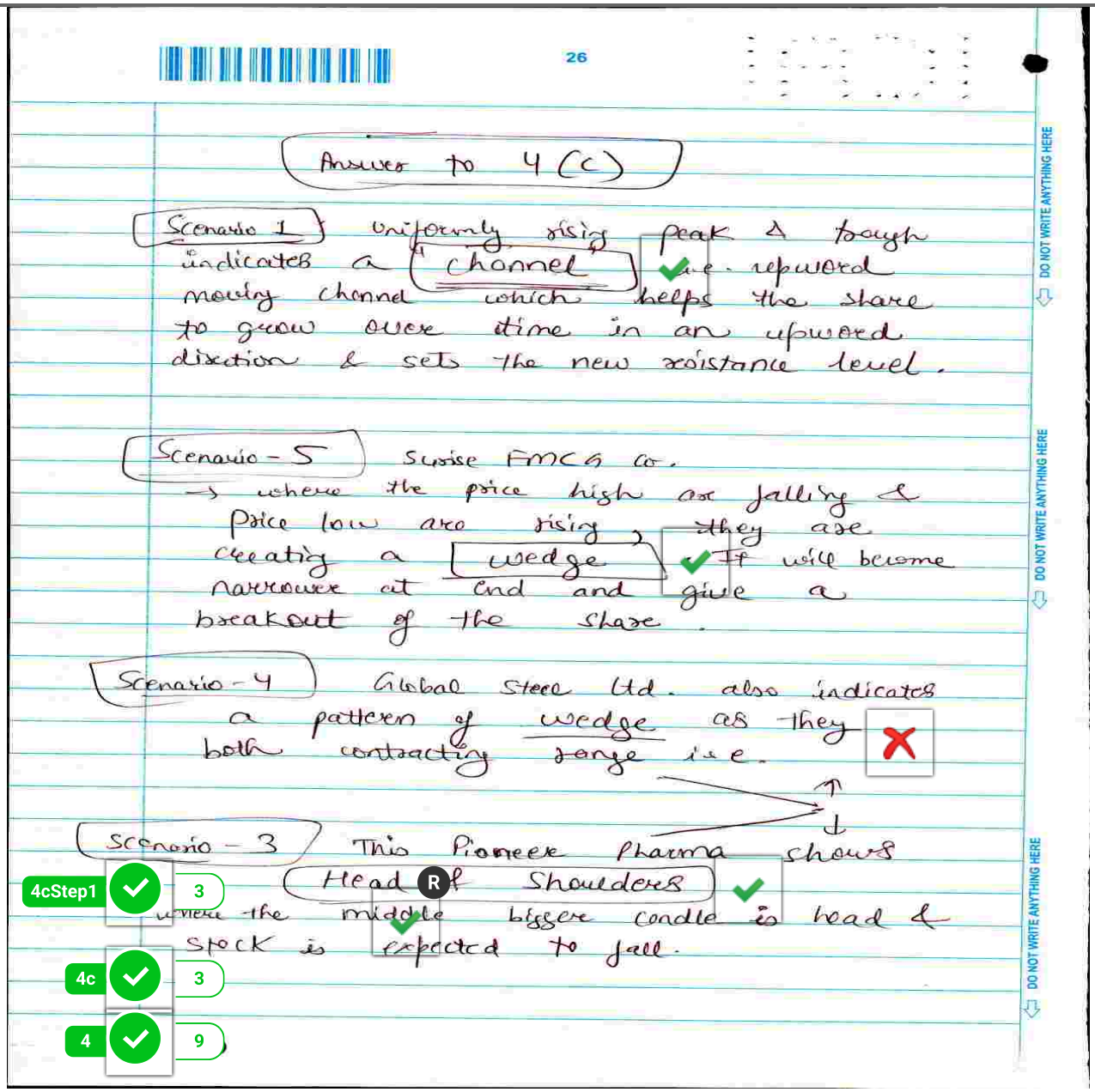
= ₹1400,000 / 700,000

= ₹2 / share

Co R can pay ₹2 as dividend per share.

4bStep1 4

4b 4



26

Answer to 4 (c)

Scenario 1 Uniformly rising peak & tough indicates a channel i.e. upward moving channel which helps the share to grow over time in an upward direction & sets the new resistance level.

Scenario - 5 Swise FMCG Co. → where the price high are falling & price low are rising, they are creating a wedge If will become narrower at end and give a breakout of the share.

Scenario - 4 Global Steel Ltd. also indicates a pattern of wedge as they both contracting range i.e. ✗

Scenario - 3 This Pioneer Pharma shows Head & Shoulders where the middle bigger candle is head & stock is expected to fall.

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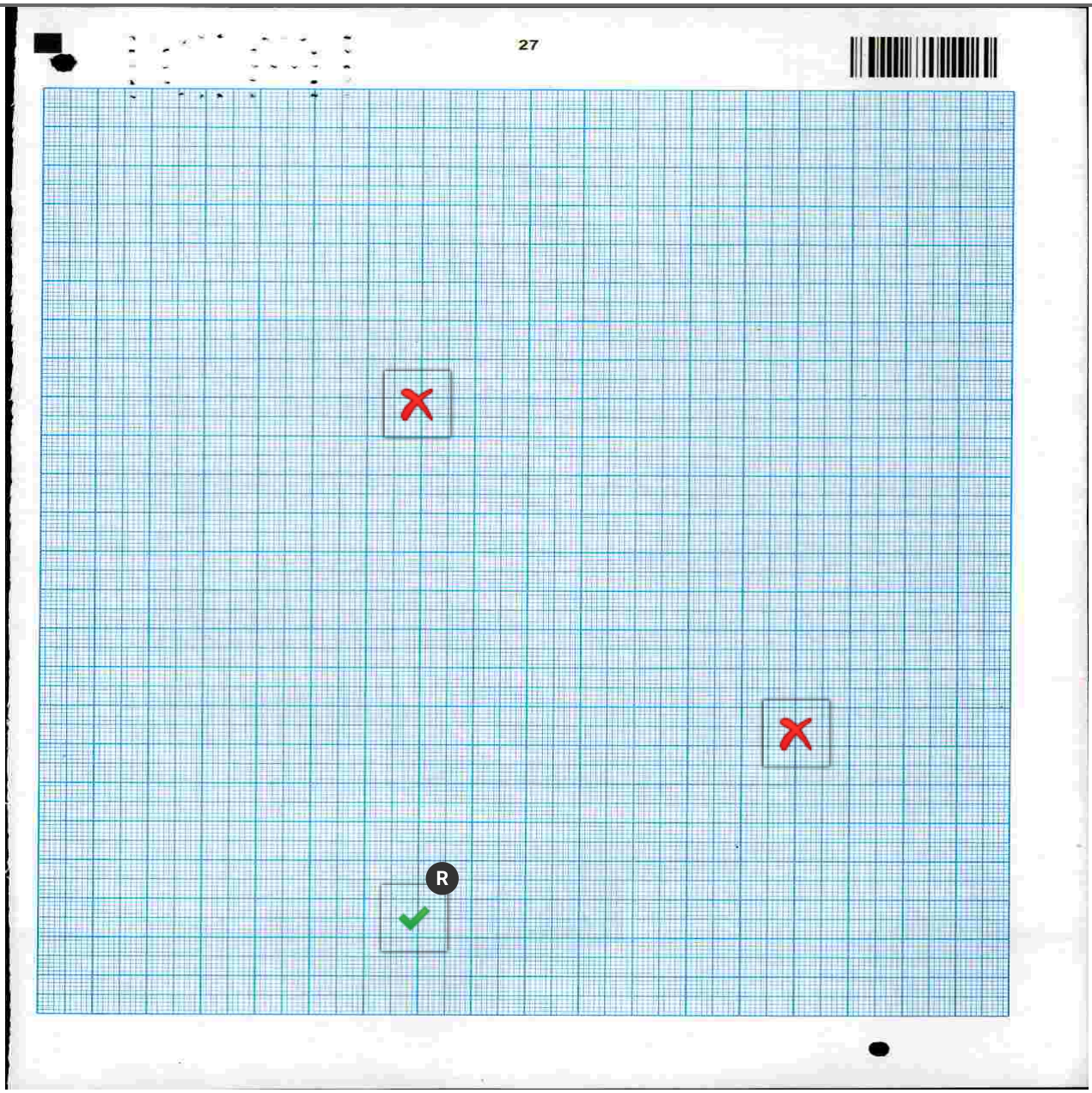
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4cStep1 3

4c 3

4 9


27
R

28

Answer to Q-5 (b)

Flotation cost = ~~₹11~~ 1.5%

Funds required (to be raised) = $\frac{\$14.775}{(1-0.015)}$

⇒ $15 million ✓

→ Value of each GDR = 7 shares

Share price = ₹500 − 7% discount
= ₹465 × 7 shares
⇒ ~~₹~~3255 each GDR ✓

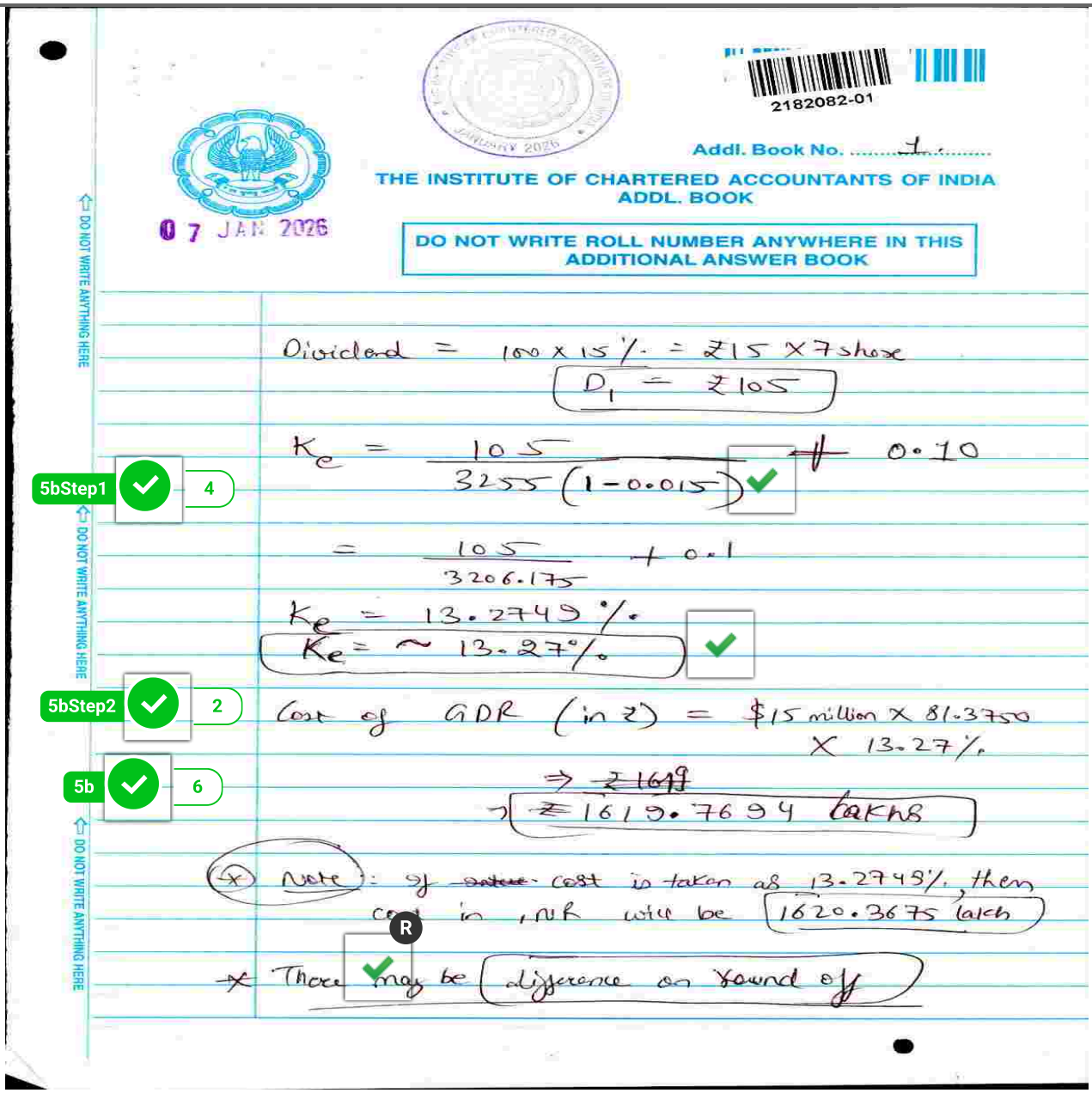
~~Cost~~ Value of GDR in ($) = $\frac{₹3255}{\$81.3750}$

→ = $40 ✓

No. of GDR to be issued = $\frac{\$15 \text{ million}}{\$40}$

⇒ 3,75,000 GDR's or 3.75 lakhs ✓

⇒ ~~Cost~~ of ~~Equity~~ Company (K_e) ⇒ $\frac{D_1}{P_0 (\text{net proceed})} + g$ ✓



2182082-01

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Dividend = 100 × 15 % = ₹15 × 7 shares

D_1 = ₹105

$K_e = \frac{105}{3255(1-0.015)} + 0.10$

$= \frac{105}{3206.175} + 0.1$

K_e = 13.2749 %

K_e = ~ 13.27 %

5bStep1 ✓ 4

5bStep2 ✓ 2

Cost of GDR (in ₹) = $15 million × 81.3750 × 13.27 %

⇒ ~~₹1619~~

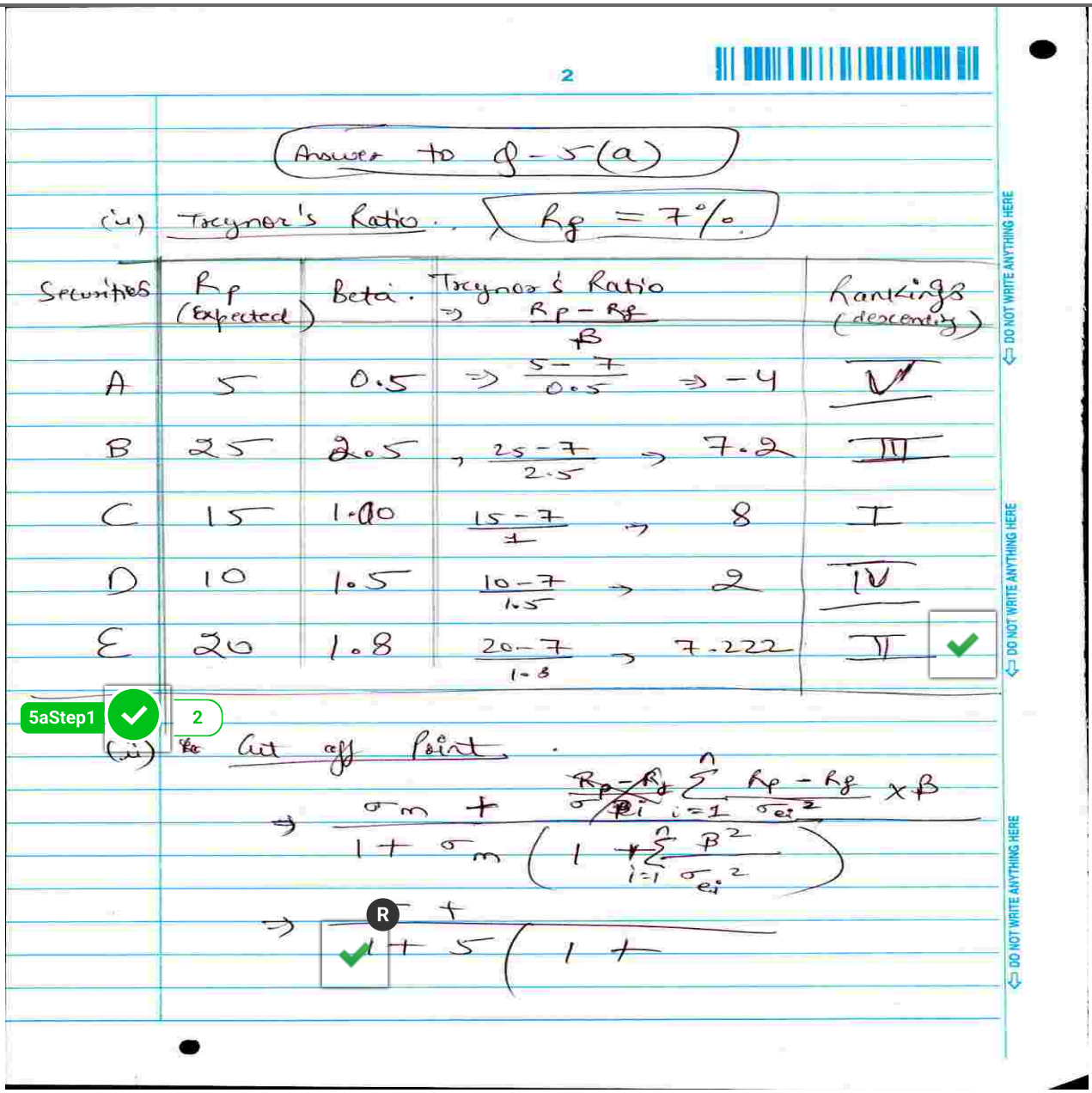
⇒ ₹1619.7694 lakhs

5b ✓ 6

(x) Note: If ~~actual~~ cost is taken as 13.2749 %, then cost in INR will be 1620.3675 lakh

R

x There may be difference on round off



2

Answer to Q-5(a)

(i) Treynor's Ratio. $R_f = 7\%$

Securities	R_p (Expected)	Beta	Treynor's Ratio $\Rightarrow \frac{R_p - R_f}{\beta}$		Rankings (descending)
A	5	0.5	$\Rightarrow \frac{5-7}{0.5}$	$\Rightarrow -4$	V
B	25	2.5	$\frac{25-7}{2.5}$	$\Rightarrow 7.2$	II
C	15	1.00	$\frac{15-7}{1}$	$\Rightarrow 8$	I
D	10	1.5	$\frac{10-7}{1.5}$	$\Rightarrow 2$	IV
E	20	1.8	$\frac{20-7}{1.8}$	$\Rightarrow 7.222$	III

5aStep1 2

(ii) Cut off Point.

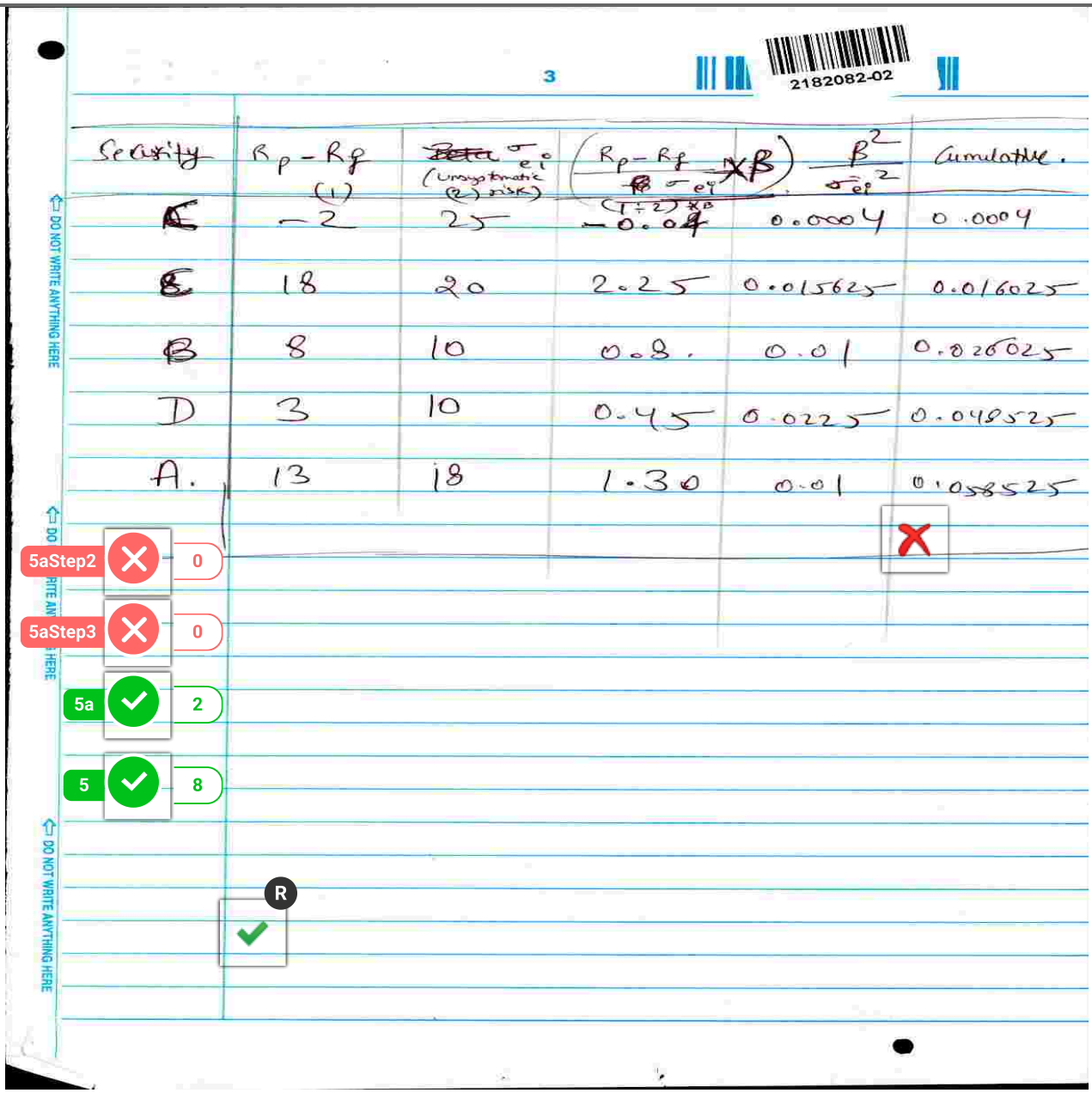
$$\Rightarrow \frac{\sigma_m + \frac{R_p - R_f}{\sigma_{ei}^2} \times \beta}{1 + \sigma_m \left(1 + \sum_{i=1}^{n} \frac{\beta^2}{\sigma_{ei}^2}\right)}$$

$$\Rightarrow \frac{+}{1 + 5\left(1 + \right.}$$

R

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Code:	**FN2AF182082**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	**42**



3

2182082-02

Security	$R_p - R_f$ (1)	~~Beta~~ σ_{ei} (Unsystematic (2) risk)	$\frac{(R_p - R_f) \times \beta}{(1 \div 2) \times \beta}$	$\frac{\beta^2}{\sigma_{ep}^2}$	Cumulative.
E	−2	25	−0.04	0.0004	0.0004
C	18	20	2.25	0.015625	0.016025
B	8	10	0.8	0.01	0.026025
D	3	10	0.45	0.0225	0.048525
A	13	18	1.30	0.01	0.058525

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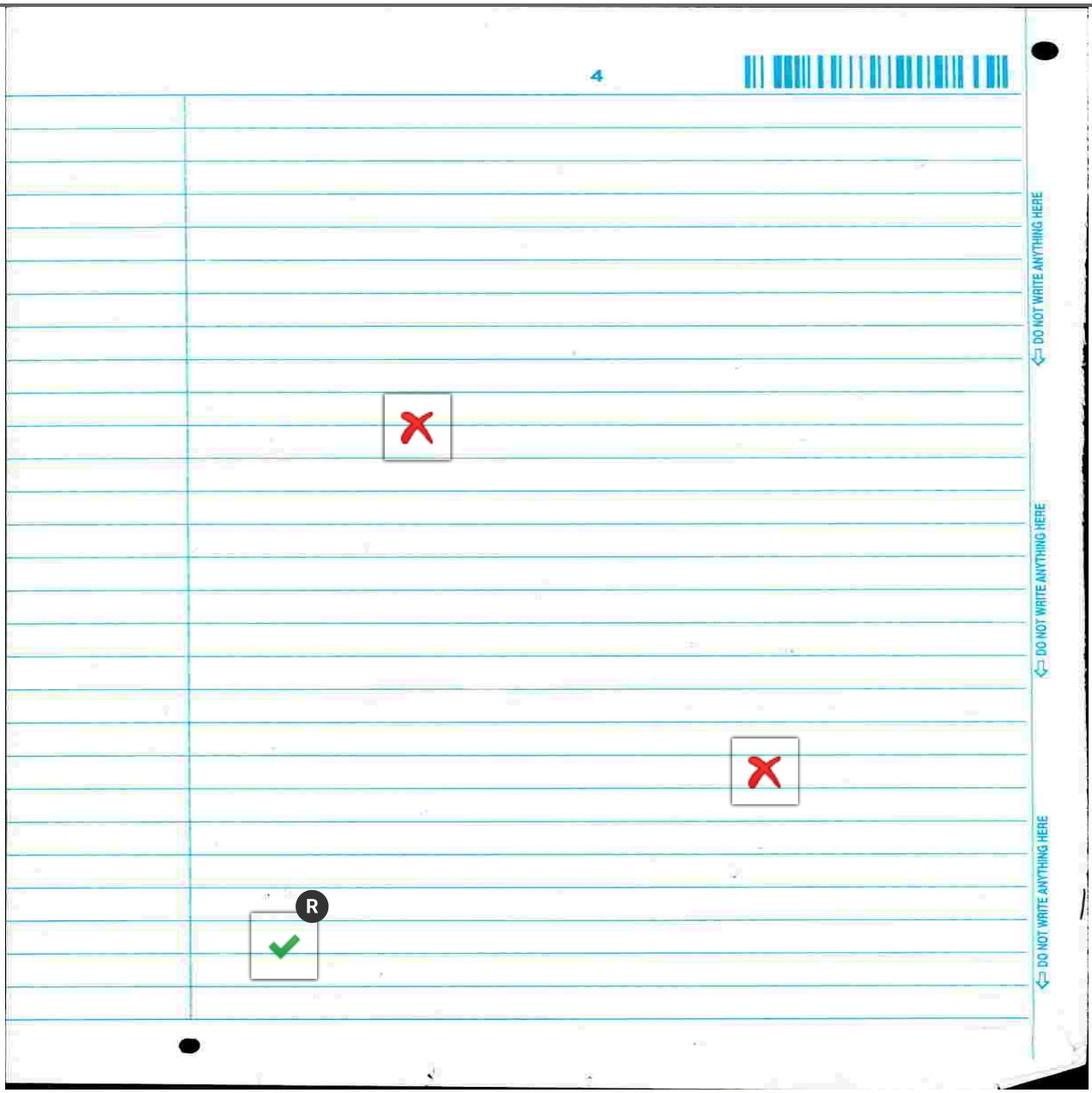
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5aStep2	✗	0
5aStep3	✗	0
5a	✓	2
5	✓	8

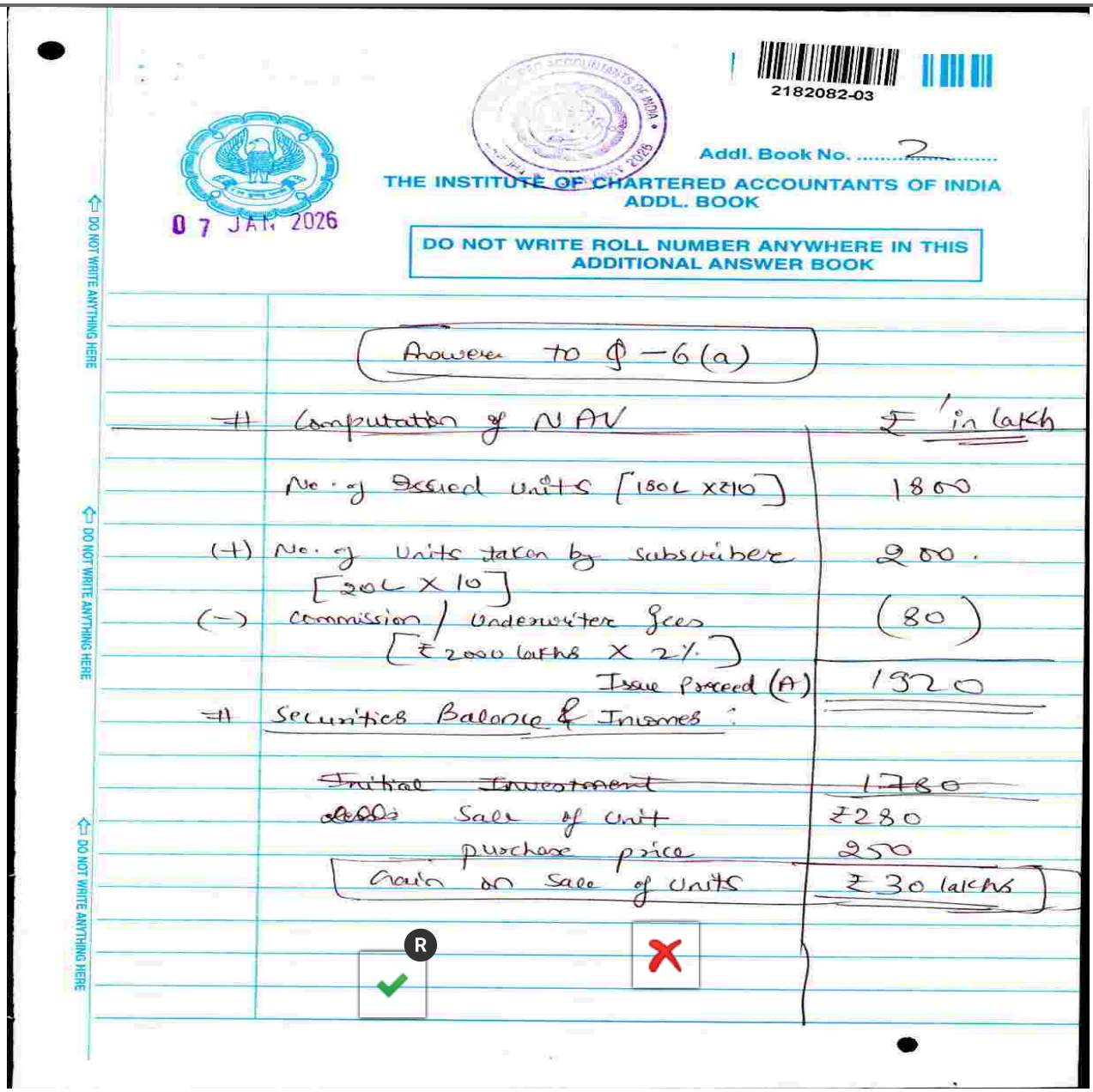
R ✓

Code: FN2AF182082 Total Marks: 70
Subject : 02 Advanced Financial Management Marks Obtained : 42



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Code:	**FN2AF182082**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	**42**



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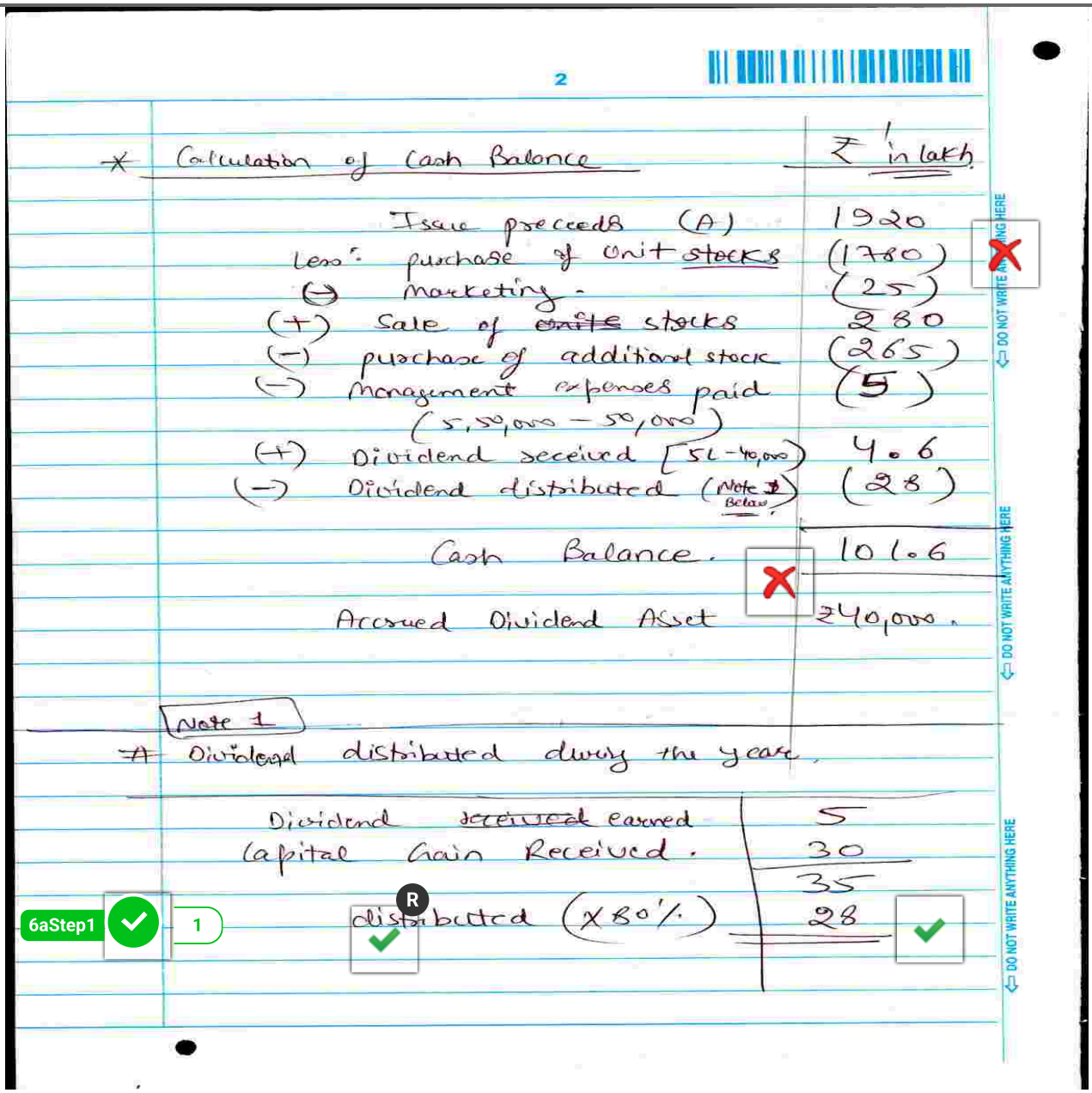
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Answer to Q-6(a)

		₹ in lakh
#	Computation of NAV	
	No. of Issued Units [180L x ₹10]	1800
(+)	No. of Units taken by subscriber [20L x 10]	200
(−)	Commission / Underwriter fees [₹2000 lakhs x 2%]	(80)
	Issue Proceed (A)	1920
#	Securities Balance & Income :	
	~~Initial Investment~~	~~1780~~
	Sale of Unit	₹280
	Purchase price	250
	Gain on Sale of Units	₹30 lakhs



2

* Calculation of Cash Balance — ₹ in lakh

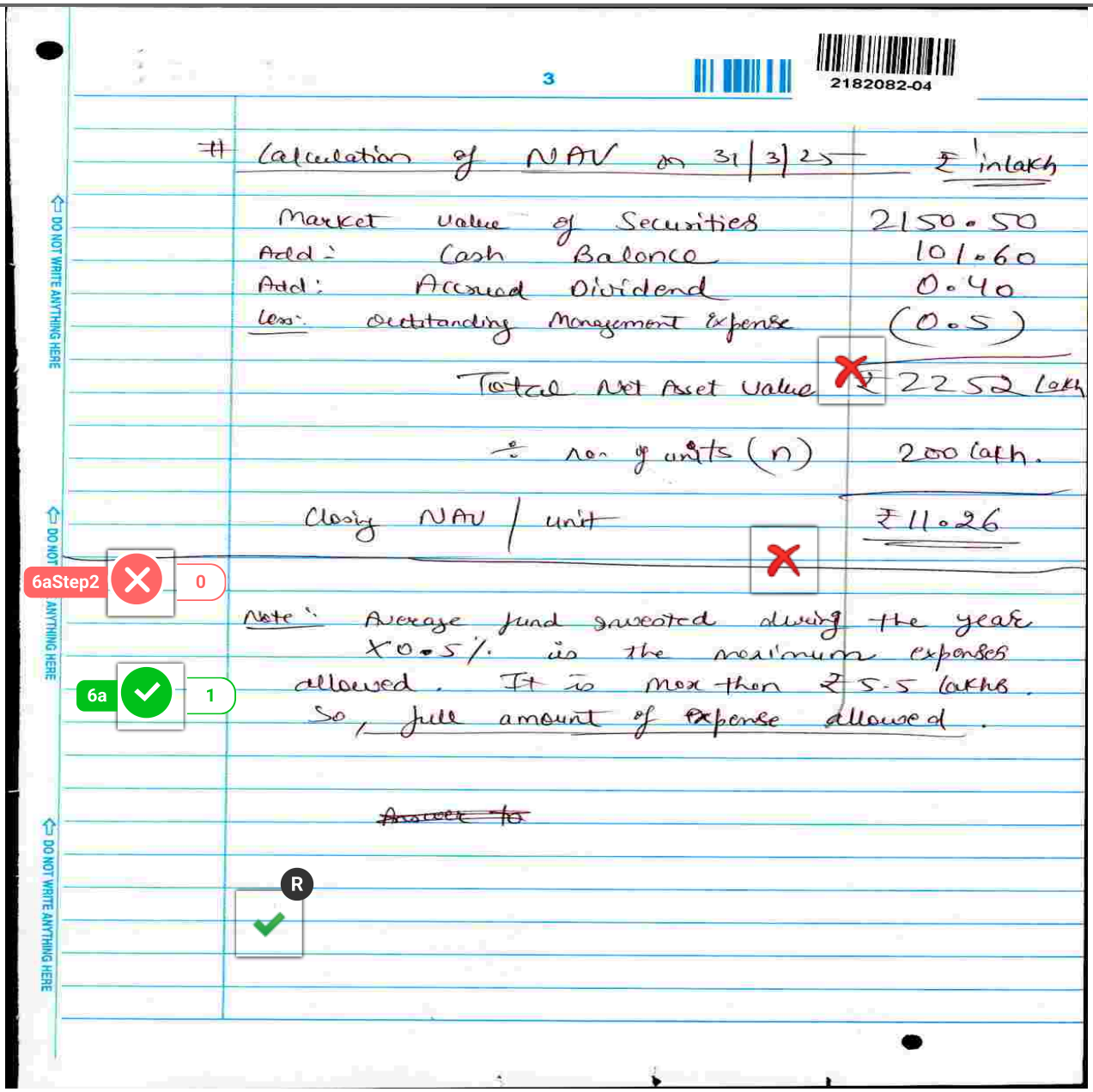
	Issue proceeds (A)	1920
Less:	purchase of Unit stocks	(1780)
(-)	Marketing.	(25)
(+)	Sale of ~~Units~~ stocks	280
(-)	purchase of additional stock	(265)
(-)	Management expenses paid (5,50,000 − 50,000)	(5)
(+)	Dividend received [5L − 40,000]	4.06
(-)	Dividend distributed (Note 1 Below)	(28)
	Cash Balance.	101.06
	Accrued Dividend Asset	240,000.

Note 1

* Dividend distributed during the year.

Dividend ~~received~~ earned	5
Capital Gain Received.	30
	35
distributed (X 80%)	28

6aStep1 1



3

2182082-04

Calculation of NAV on 31/3/25 ₹ in lakh

Market Value of Securities		2150.50
Add: Cash Balance		101.60
Add: Accrued Dividend		0.40
less: outstanding Management Expense		(0.5)
Total Net Asset Value		₹ 2252 lakh
÷ no. of units (n)		200 lakh.
Closing NAV / unit		₹ 11.26

Note: Average fund invested during the year ×0.5% is the maximum expenses allowed. It is more than ₹5.5 lakhs. So, full amount of expense allowed.

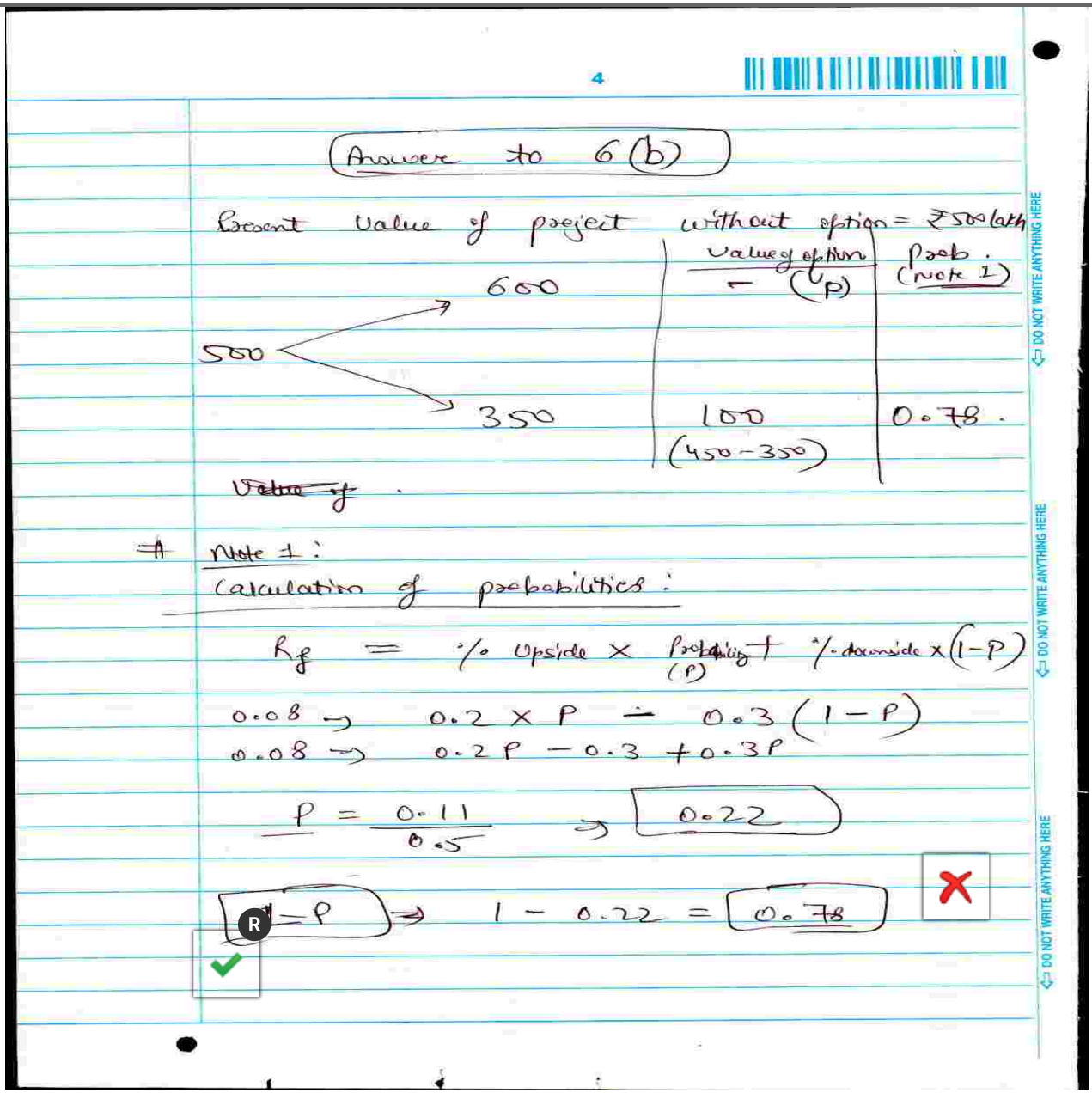
~~Answer to~~

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6aStep2 0

6a 1

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4

Answer to 6(b)

Present Value of project without option = ₹500 lakh

		Value of option (Up)	Prob. (Note 1)
500 →	600		
	350	100 (450 − 350)	0.78

~~Value of~~ .

Note 1:

Calculation of probabilities:

R_f = % Upside × Probability (P) + % downside × (1 − P)

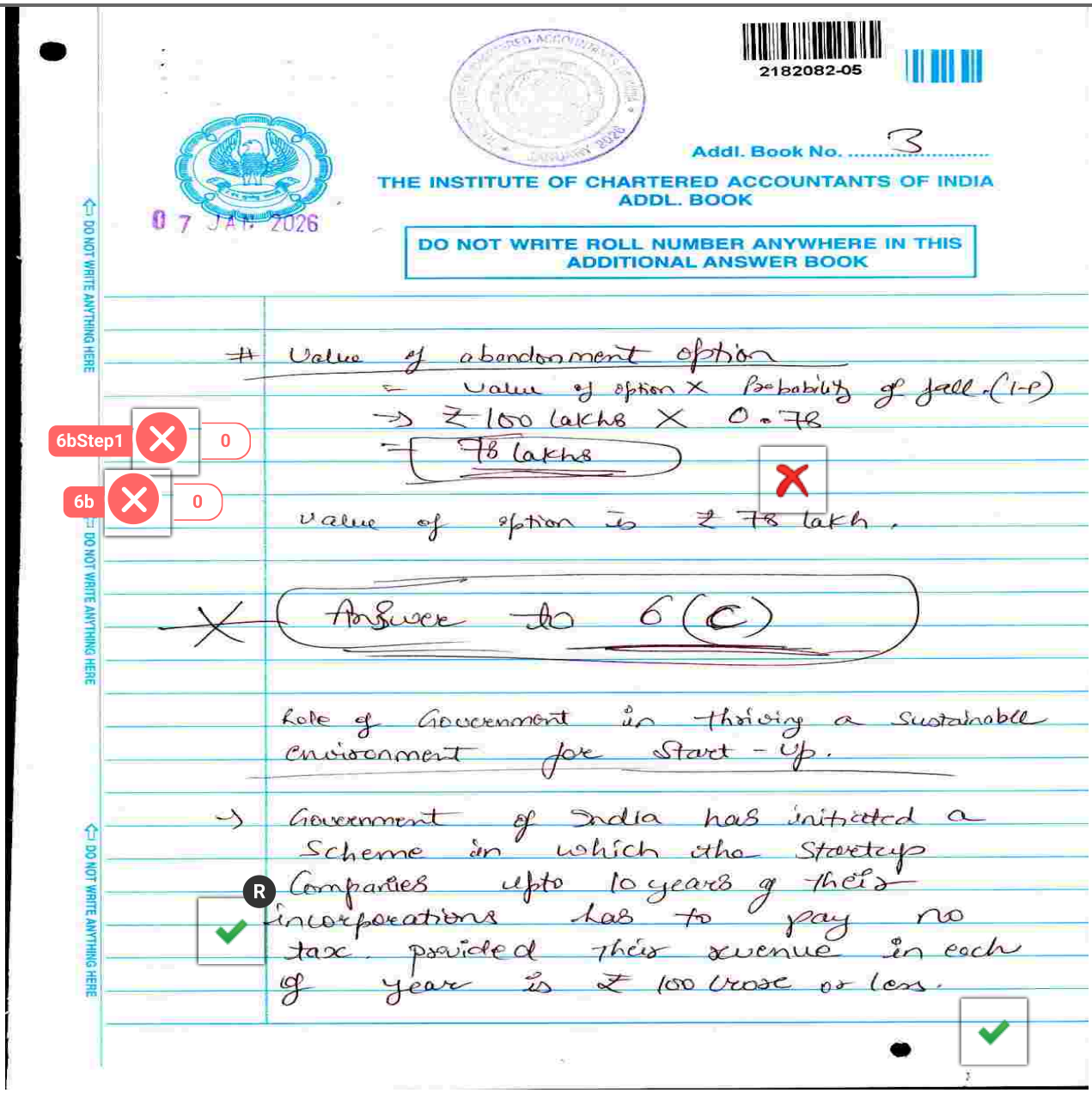
$0.08 \rightarrow 0.2 \times P - 0.3 (1 - P)$

$0.08 \rightarrow 0.2P - 0.3 + 0.3P$

$P = \frac{0.11}{0.5} \rightarrow 0.22$

$1 - P \Rightarrow 1 - 0.22 = 0.78$

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6bStep1 0

6b 0

Value of abandonment option
= Value of option × Probability of fall (1-P)
→ ₹ 100 lakhs × 0.78
= 78 lakhs

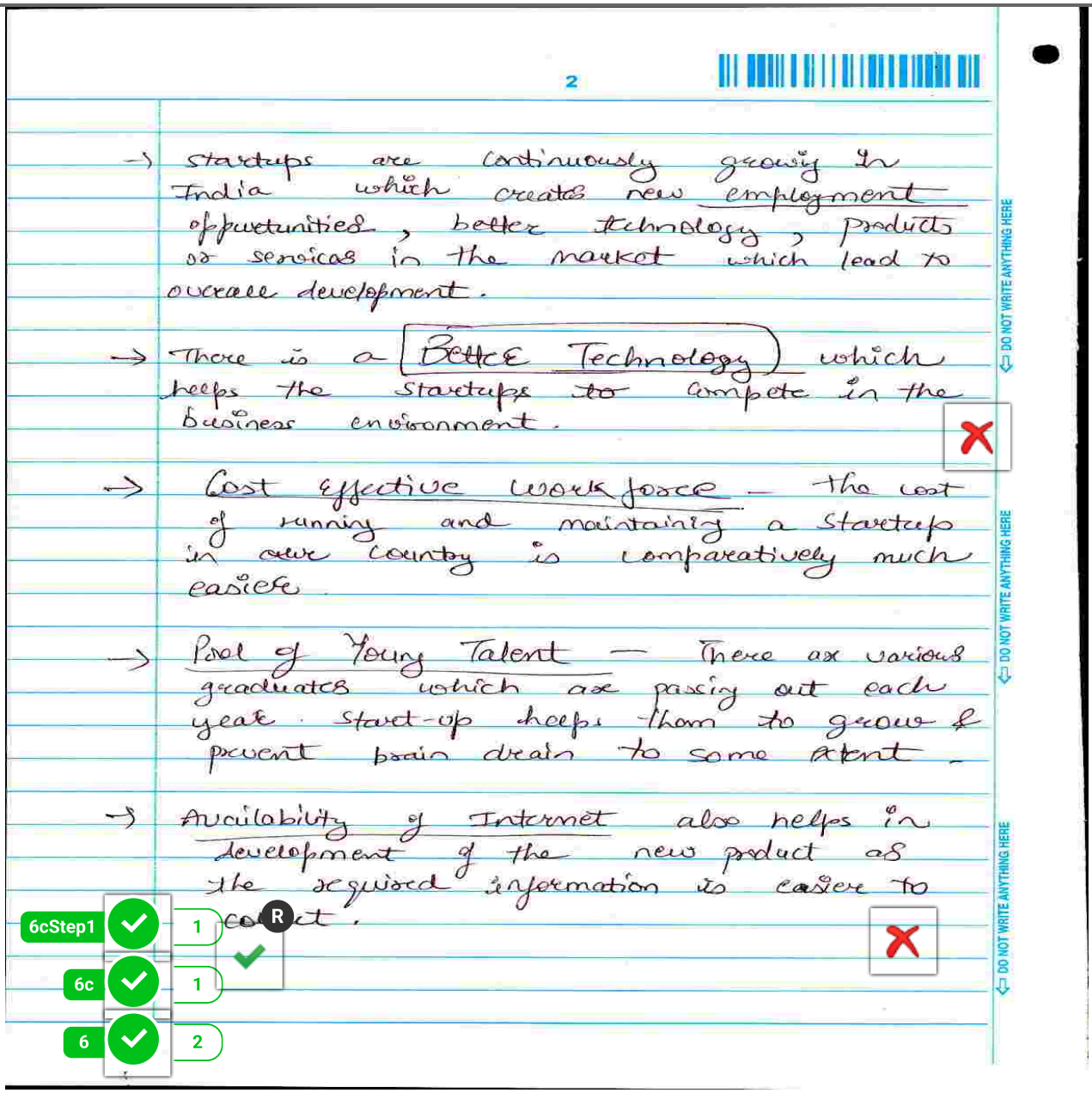
Value of option is ₹ 78 lakh.

Answer to 6(c)

Role of Government in thriving a Sustainable Environment for Start-up.

→ Government of India has initiated a Scheme in which the Startup Companies upto 10 years of their incorporations has to pay no tax, provided their revenue in each of year is ₹ 100 crore or less.

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→ Startups are continuously growing in India which creates new employment opportunities, better technology, products or services in the market which lead to overall development.

→ There is a Better Technology which helps the startups to compete in the business environment.

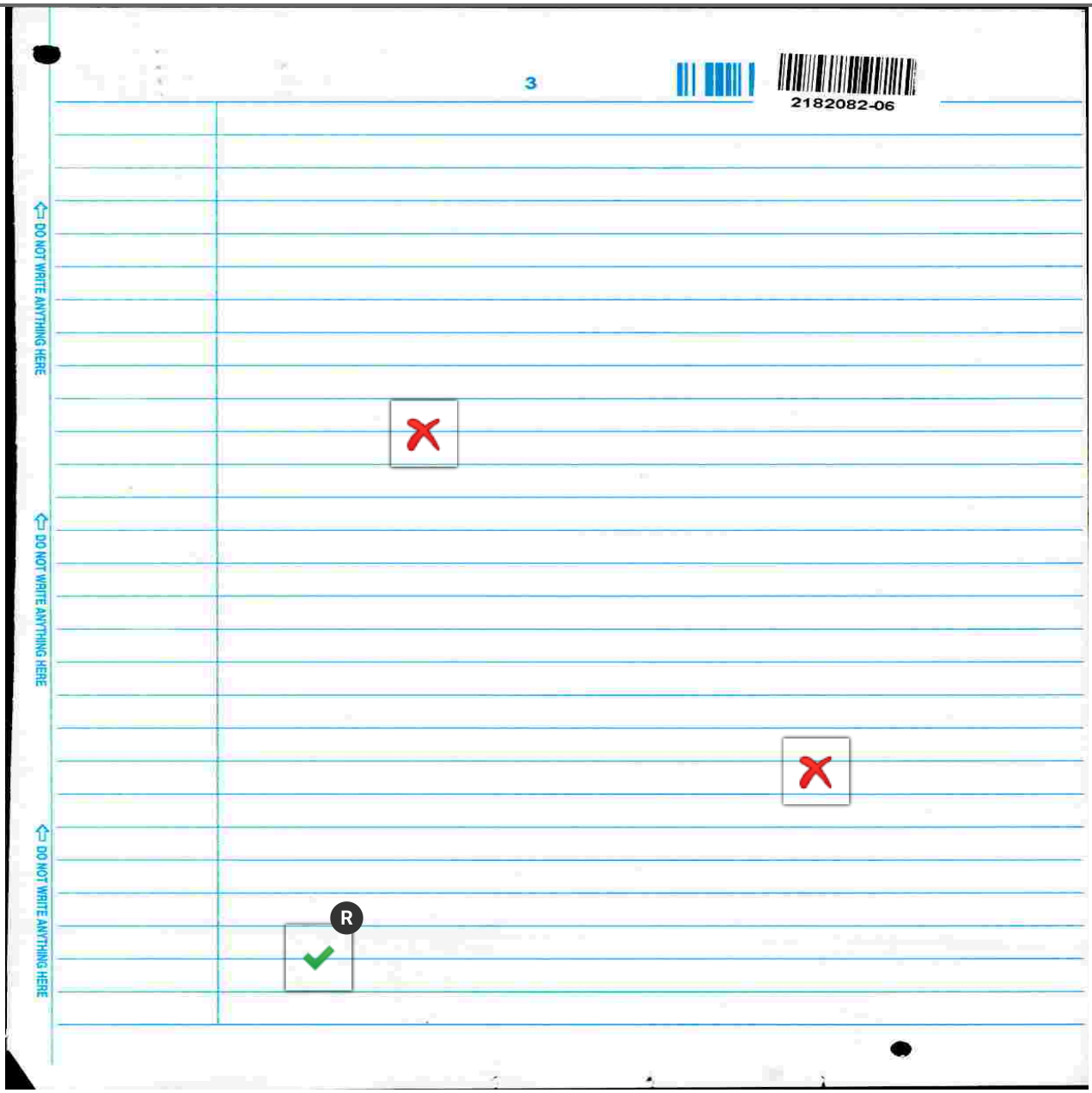
→ Cost Effective Work force — The cost of running and maintaining a Startup in our country is comparatively much easier.

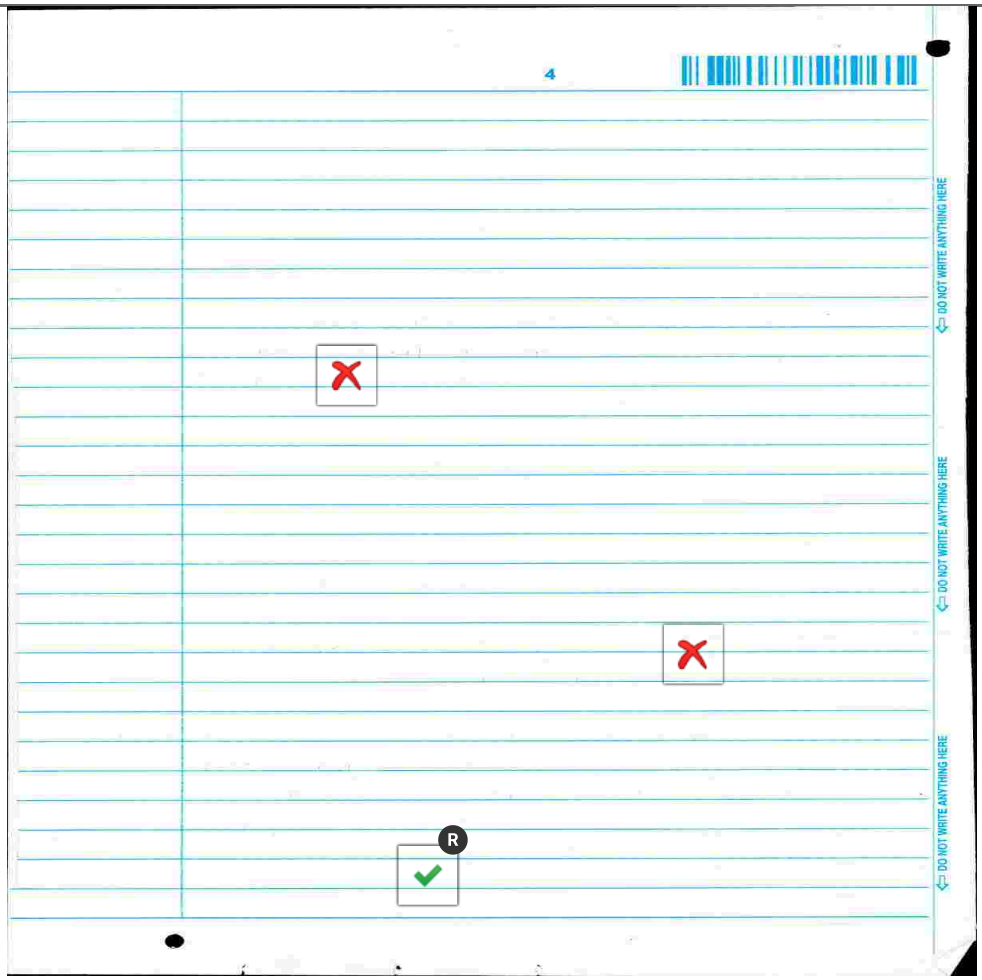
→ Pool of Young Talent — There are various graduates which are passing out each year. Start-up helps them to grow & prevent brain drain to some extent.

→ Availability of Internet also helps in development of the new product as the required information is easier to collect.

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